APPRAISAL REPORT

OFFICE/WAREHOUSE FACILITY

1409 Connell St
Midland, TX 79701

CLIENT

LEWALLEN GARCIA HOLDINGS LLC

John Lewallen | Bobby J Garcia

AN *APPRAISAL REPORT OF:*

THE PROPERTY LOCATED AT:
1409 Connell St, Midland, TX 79701

AS OF:

04/02/2025

PREPARED FOR:

John Lewallen | Bobby J Garcia
LEWALLEN GARCIA HOLDINGS LLC

PREPARED BY:

Deanna Peden
Basin Appraisals, LLC
Odessa, Texas 79765

LETTER OF TRANSMITTAL

BASIN APPRAISALS, LLC
DEANNA PEDEN
3106 San Jose Drive
ODESSA, TEXAS 79765
Phone 432/550-5588 Cell 432/352-2508
Deanna.basinappraisalsllc@gmail.com

04/28/2025

John Lewallen | Bobby J Garcia
1409 Connell St, Midland, TX 79701

Re: ACRES: 0.321 BLK: 017 LOTS: 003 S.100 ADDN: HALEY HEIGHTS

Dear John Lewallen | Bobby J Garcia, LEWALLEN GARCIA HOLDINGS LLC,

As requested, an *Appraisal* has been made on the above referenced property in Midland, Texas. The purpose of this appraisal is to give you an estimated Market Value of the Fee Simple Estate of the subject property as of 04/02/2025. A cursory inspection of the subject premises, as well as an analysis of relevant data such as local market trends, pertinent land and whole property sales, if available, and supply/demand demographics has been made. This appraisal has been communicated in a Narrative Summary Appraisal Format.

This appraisal was performed in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were in place at the time this appraisal was prepared. Non-realty items were not included in the value estimate. The estimated Market Value of the Fee Simple Estate, **surface only**, is as follows:

FIVE HUNDRED FORTY THOUSAND DOLLARS
($540,000)

The value estimate assumes that there is no contamination resulting from the drill sites near the property or other previous or current property usage.

I have no current or contemplated interest in the Subject Property. The payment of the fee for services rendered herein is not contingent upon a predetermined value of the Subject Property.

I appreciate the opportunity to serve you in the preparation of this appraisal report. If there are any questions regarding this letter, please do not hesitate to contact me.

Sincerely Yours,

Deanna Peden

Deanna Peden
State Certified General
Real Estate Appraiser
No. TX-1338135-G

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SUMMARY OF SIGNIFICANT FACTS AND CONCLUSIONS

Effective Date	04/02/2025
Date of Report	04/28/2025
Purpose of Appraisal	To provide an estimation of Market Value "as is".
Subject Property Information	
Location	1409 Connell St, Midland, TX 79701
Land Size (AC)	0.321 Acres
Building Size (SF)	6,000
Effective Age	15
Additional Improvements	Concrete parking and drives, chain link fencing with barbed wire, concrete sloped driveway.
Zoning	C, Commercial District
Highest and Best Use	Commercial
Indicated Whole Property Value via Sales Comparison Approach	$528,000
Indicated Property Value via Income Approach	$569,000
Final Value- Fee Simple Estate	**$540,000**

EXTRAORDINARY ASSUMPTIONS

An extraordinary assumption is defined by the *Uniform Standards of Professional Practice* 2014-2015 Edition, (The Appraisal Foundation, page U-3) as "an assumption, directly related to a specific assignment, as of the effective date of the assignment results, which if found to be false, could alter the appraiser's opinions or conclusions. Extraordinary assumptions presume as fact otherwise uncertain information about physical, legal or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis."

Refer to General Assumptions and Limiting conditions. If any data relied upon is incorrect, the appraiser reserves the right to correct. If the incorrect data skews results, the appraiser reserves the right to revise the appraisal.

The appraiser is making an extraordinary assumption that, because the subject property is wholly owned by a single entity, no discount is required for a 50% ownership interest.

HYPOTHETICAL CONDITIONS

A hypothetical condition is defined by the *Uniform Standards of Professional Practice* 2022-2023 Edition, (The Appraisal Foundation, page U-3) as "a condition, directly related to a specific assignment, which is contrary to what is known by the appraiser to exist on the effective date of the assignment results, but is used for the purpose of analysis. Hypothetical conditions are contrary to known facts about physical, legal, or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis."

None used.

QUALIFICATIONS OF DEANNA PEDEN

BASIN APPRAISALS, LLC ODESSA, TX 79765

DESIGNATION

State Certified General Real Estate Appraiser - No. TX-1338135-G

EDUCATION

Institution	Location	Degree	Year
Texas Tech University	Lubbock, TX	Master of Science	1987
Texas Tech University	Lubbock, TX	Bachelor of Science	1984
Champions School of Real Estate & Appraisal Institute	Dallas, Houston, San Antonio, Arlington	N/A	N/A

PROFESSIONAL EXPERIENCE

Role	Organization/Location	Duration
General Appraiser	SK Real Estate Appraisal, Hallmark Appraisals Inc., Basin Commercial Appraisals LLC	2005 – Present
Teacher	Ector County Independent School District, Odessa, TX	1989–1992, 1996–1999, 2002–2004
	Loving Municipal Schools, Loving, New Mexico	1992–1993
	Odessa College, Odessa, TX	1991
	Andrews Independent School District, Andrews, TX	1985–1988
Sales Rep.	3M Baker Graphics, Lubbock, TX	1985
Realtor	Sims and Guess Better Homes and Gardens	1995–1996

PROFESSIONAL ORGANIZATIONS

- Association of Texas Appraisers
- Texas Tech Alumni Association

APPRAISAL COURSES

Course Name	Topic
National USPAP Course & Updates	Appraisal Institute's Course 1410N
Basic Appraisal Principles	Appraisal Institute's Courses 100 & 101GR
Basic Appraisal Procedures	Supporting Adjustments: The Journey from…
Basic Income Capitalization	New Construction Essentials: Luxury Homes
General Market Analysis & Highest & Best Use	Measuring 1-4 Unit Residential Properties with ANSI Z765 Standard
Professional's Guide to URAR	Residential Construction and the Appraiser
General Applications	REO Appraisal: Guidelines and Best Practices
Business Practices & Ethics	Manufactured Housing (Synchronous)
Hotel Appraising New Techniques	Focus on FHA Minimum Property Requirements
Land & Site Valuation	Valuation of Residential Solar
Environmental Pollution & Mold	Appraising Complex and Stigmatized Properties
Mortgage Fraud - Appraiser Risk Management	Texas Supervisor – Trainee Course
Appraising 2–4 Family Properties	
Appraising in a Depressed Market	

REPRESENTATIVE APPRAISER CLIENT LIST

- Appraisal Nation
- Community National Bank
- Integrity Appraisal Management
- Mercury Network
- First Basin
- American Momentum Bank
- Patriot Bank
- Frost Bank
- Tejas Bank
- Numerous Individual Clients

SUBJECT PHOTOS

Subject Front

1409 Connell St
Sales Price
G.L.A. 6,000
Tot. Rooms
Tot. Bedrms.
Tot. Bathrms.
Location N;Res;
View N;Res;
Site
Quality
Age

Subject Rear

Subject Street

Taylor Street Right Side of Building

View from Inside Fencing on Taylor Street

View of Front and Side Entrances

Warehouse Interior view

Restroom 1

Restroom 2

Connell Street Overhead Door and Sink

View of Restrooms and Taylor Street Overhead Door

DEFINITION OF THE PROBLEM

PROPERTY IDENTIFICATION

Local Address	1409 Connell St, Midland, Midland County, TX 79701
Legal Description	ACRES: 0.321 BLK: 017 LOTS: 003 S.100 ADDN: HALEY HEIGHTS
Site	0.321 Acres
APN	R000024310

PURPOSE OF THE APPRAISAL

The purpose of this report is to provide an estimation of Market Value of the Fee Simple Estate (as defined below by the Office of the Comptroller of the Currency) of the subject property.

DEFINITION OF MARKET VALUE

Regulations published by federal regulatory agencies pursuant to Title XI of the Financial Institutions Reform, Recovery and Enforcement Act (FIRREA).

The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised, and acting in what they consider their best interests;
3. A reasonable time is allowed for exposure on the open market;
4. Payment is made in terms of cash in United States dollars on in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.

EXPOSURE TIME

"'The estimated length of time the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal; a retrospective estimate based on an analysis of past events assuming a competitive and open market. Exposure time is always presumed to occur prior to the effective date of the appraisal. The overall concept of reasonable exposure encompasses not only adequate, sufficient and reasonable time but also adequate, sufficient and reasonable effort." (Appraisal Standards Board of The Appraisal Foundation, Statement on Appraisal Standards No. 6, "Reasonable Exposure Time in Real Property and Personal Property Market Value Opinions")' *The Dictionary of Real Estate Appraisal*, Fourth Edition p. 105.

The estimate of market value presumes an exposure time of approximately 6-12 months under today's market conditions.

PROPERTY RIGHTS APPRAISED

Fee Simple Estate

DEFINITION OF FEE SIMPLE ESTATE

According to The Dictionary of Real Estate Appraisal, Fourth Edition, published by the American Institute of Real Estate Appraisers, Fee Simple Estate is defined as follows:

"Absolute ownership unencumbered by any other interest or estate, subject only to limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat."

INTENDED USER OF THE APPRAISAL

John Lewallen | Bobby J Garcia and their assignees. The appraisal has been prepared solely for the use and benefit of the Client and identified intended user(s). No other users are intended or authorized, and no other parties should use or rely on the appraisal or any content in the appraisal for any purpose.

INTENDED USE OF THE APPRAISAL

The purpose of this appraisal is to determine the market value of the subject property for purchasing from a 50% partner, Mr. John Lewallen.

SCOPE OF WORK / APPRAISAL PROCESS

The appraisal process is the orderly program wherein data employed in estimating the value of the subject property is acquired, classified, analyzed, and presented. The first step in the appraisal process involves defining the appraisal problem. This step includes the identification of the real estate, the effective date of the value estimate, the identification of the property rights being appraised and the type of value being sought. Data is then collected and analyzed. Relevant factors affecting the value of the subject property, such as area and neighborhood analyses, site and improvement analyses, and the highest and best use analysis are considered in estimating the property's value. (Appraisals are NOT property inspections.)

Generally, three approaches to value can be utilized; the Cost Approach, the Sales Comparison Approach, and the Income Approach. The final step in the appraisal process is the reconciliation or correlation of the value indications. In the correlation, the relative applicability and defensibility of each approach is considered; and a final estimate of value is reached. For this appraisal, two approaches to value are utilized. The Cost Approach to value will not be used due to the age of the subject property.

The term "Scope of the Appraisal" refers to the extent of the process of collecting, confirming, and reporting data. In valuing the subject property, the Sales and Income Approaches to value are utilized for the subject property. The cost approach typically gives a reliable value indication when the improvements are new and represent the highest and best use of the site. The estimation of depreciation variables is difficult, and this makes the cost approach less effective for older properties. The Cost approach will be developed for the property but is **NOT** considered applicable for the final market value for this property. The Sales Comparison Approach will be used for both the land and whole property value. The Sales Comparison is usually the best indication of value for a Fee Simple Estate. The Sales Comparison Approach value is considered the best approach for this fee simple estate. The Income Approach to value will also be developed as there were available leases to obtain a value from this approach as well and several of the Sales Comparables found were sold with leases in place at the time of sale. The Income Approach to Value is typically a good indicator of value for income properties that are being leased. However, it can also provide a good indication of value for any property rights being appraised if data is available. Several comparable leases were found in the research for this assignment. It is also typically very supportive of the Sales Comparison Approach to Value.

The *Cost Approach* is a method in which the value is derived by estimating the reproduction or replacement cost "new" of the improvements. These estimates are based on consultation with a local general contractor and/or the use of the Marshall/Swift Valuation Service. All applicable forms of depreciation and obsolescence are then estimated and deducted from this cost. The estimates for depreciation and obsolescence are based on observed condition, cost to cure analyses, and abstractions from comparable sales data in the *Sales Comparison Approach.* The resulting depreciated value of the improvements is then added to the market value of the land as derived from the Sales Comparison Approach for the land only.

The *Sales Comparison Approach* is typically used to estimate the value of the site, as well as, to estimate the value of the whole property, land and improvements. In applying this approach on a land only and a whole basis, actual sales of similar properties are researched and analyzed. The value is then estimated based upon the pattern of prices being paid and received in the market. The reliability of this approach is directly related to the quantity and quality of available data, and when adequate data are available, the result is usually a credible market value indication.

In the *Income Approach,* value is estimated based on future benefits to be derived from ownership of a property. This method utilizes comparable rentals to forecast the maximum obtainable economic rent. From this, an allowance for vacancy and credit loss and all expenses associated with ownership are deducted in order to estimate the net operating income. The resulting net operating income is then processed into an indication of value by employing the appropriate capitalization rate. The overall capitalization rate is market oriented being abstracted from comparable sales data. Subject Contract Rent will also be capitalized and compared to the market rent rate obtained through the Income Approach to Value. According to The Appraisal of Real Estate 12th Edition (Appraisal Institute) in the case of a reduced risk due to the long-term lease such as subject a typically required higher capitalization rate is not typically utilized. In this analysis, it is deemed the same as the market rent cap rate.

The final step in the appraisal process involves correlating the valuation techniques into an indication of final market value.

SIGNIFICANT APPRAISAL DATES

EFFECTIVE DATE OF THE APPRAISAL

04/02/2025

DATE OF REPORT

04/28/2025

GENERAL ASSUMPTIONS AND LIMITING CONDITIONS

The appraiser has made this report subject to the following general assumptions and limiting conditions.

1. No responsibility is assumed for legal matters or the legal description, including title or encumbrances, that affect the property appraised. Unless otherwise stated, title to the property is assumed to be good and marketable, and the property is further assumed to be free and clear of any or all liens, easements or encumbrances.

2. Competent property management and responsible ownership are assumed.

3. Information furnished by others, upon which all or portions of this report are based, is considered reliable and believed to be true and correct. It is assumed that all required licenses, certificates of occupancy, consents, or other legislative or administrative authority from any local, state, or national government or private entity or organization have been or can readily be obtained or renewed for any use on which the value estimates contained in this report are based. However, the appraisers give no warranty as to the accuracy of such information.

4. The property areas and dimensions were obtained from sources believed to be reliable. Any maps or sketches may show approximate dimensions and are included only to assist the reader in visualizing the property. The Appraiser(s) have conducted no survey of the property.

5. The assumption is made that there are no hidden or unapparent conditions of the property, subsoil, or structures which would render it more or less valuable. The appraiser(s) assume no responsibility for such conditions or for arranging for engineering studies that may be required to discover such factors.

6. No Appraiser(s) signing or associated with this report shall be required by reason of this report to appear or give testimony in court, unless specific arrangements have been previously made therefore.

7. The allocation, if any, in this report of the total valuation between components of the property applies only to this report's stated program of utilization. The separate valuations for any components may not be applied

for use in conjunction with any other appraisal and are invalid if so used.

8. The appraised value is predicated on the prevailing financial structure as of the date of this report.

9. Full compliance with all applicable federal, state, and local zoning, use, environmental and similar laws and regulations is assumed, unless otherwise stated.

10. Disclosure of the contents of the appraisal report is governed by the bylaws and regulations of the Appraisal Standards Board.

11. This report has been made only for the purpose stated therein and shall not be used for any other purpose. Neither this report nor any portions thereof (including conclusions as to property value, the identity of the Appraiser(s) signing or associated with this report, or the professional associations or organizations with which they are affiliated) shall be disseminated to any third party without the prior written consent and approval of the Appraiser(s).

12. Deanna Peden and/or contracting appraisal company maximum liability relating to services rendered under this report shall be limited to the charges paid to Deanna Peden and/or contracting appraisal company for the portion of its services or work products giving rise to liability. In no event shall we be liable for consequential, special, incidental, or punitive losses, damages, or expenses even if it has been advised of their possible existence.

13. The client shall indemnify and hold harmless Deanna Peden and/or contracting appraisal company and its personnel from and against any claims, liabilities, costs, and expenses brought against, paid, or incurred by Deanna Peden and/or Basin Appraisals LLC. at any time and in any way arising out of or relating to our services under this report. This provision shall survive the termination of this agreement for any reason.

14. This report may not be included or referred to in any Securities and Exchange Commission filing or other public document.

15. No observation or interpretations on compliance with the American with Disabilities Act are made. We are not experts in this field and realize we are not qualified to make such determinations. Our value estimate is predicated upon the property owner(s) bearing no cost for compliance.

16. On all appraisals subject to satisfactory completion, repairs, or alterations, the appraisal report and value conclusion are contingent upon completion of the improvements in a workmanlike manner.

17. It is assumed that the property or properties conform to all applicable zoning and use regulations and restrictions, unless a nonconformity has been stated, described, defined, and considered in the appraisal report.

18. It is assumed that all required licenses, certificates of occupancy, consents, and other legislative or administrative authority from any local, state, or national, government or private entity or organization have been or can be obtained or renewed for any use on which the opinion of value contained in this report is based.

19. The property is appraised free and clear of any or all liens or encumbrances unless otherwise stated.

20. All engineering is assumed to be correct. Any plot plans and illustrative material in this report are included only to assist the reader in visualizing the property.

21. It is assumed that there is full compliance with all applicable federal, state, and local environmental regulations and laws unless noncompliance is stated, defined, and considered in the appraisal report.

22. It is assumed that utilization of the land and improvements is within the boundaries or property lines of the property described and that there is no encroachment or trespass unless noted in the report.

23. The distribution, if any, of the total valuation in this report between land and improvements applies only under the stated program of utilization. The separate allocations for land and buildings must not be used in conjunction with any other appraisal and are invalid if so used.

24. Possession of this report, or a copy thereof, does not carry with it the right of publication. It may not be used for any purpose by any person other than the party to whom it is addressed without the written consent of the appraiser, and in any event only with proper written qualification and only in its entirety.

25. Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser, or the firm with which the appraiser is connected) shall be disseminated to the public through advertising, public relations, news, sales, or other media without the prior written consent and approval of the appraiser.

26. Unless otherwise stated in this report, we did not observe the existence of hazardous material, which may or may not be present on the property. We have no knowledge of the existence of such materials on, or in, the property; however, we are not qualified to detect such substances. The presence of substances such as asbestos, urea-formaldehyde foam insulation or other potentially hazardous materials may affect the value of the property. The value estimate is based on the assumption that there is no such material on, or in, the property that would cause a loss in value. No responsibility is assumed for any such conditions, or for any expertise or engineering knowledge required to discover them. The client is urged to retain an expert in this field, if desired.

27. The value estimate is based on the assumption that there is no contamination resulting from any drill sites or wells near or on the property if any or other previous property usage. The appraiser is not qualified to make this assessment so you may want to consult an environmental expert in this case if applicable.

GENERAL DATA

MARKET AREA / NEIGHBORHOOD ANALYSIS

According to The Appraisal of Real Estate, 12th Edition, published by the American Institute of Real Estate Appraisers:

> "A neighborhood is a group of complementary land uses, and a district has one predominant land use, whereas the market area within which a subject property competes for the attention of buyers and sellers in the real estate market is the broader term appraisers analyze."
>
> "The term market area refers to an area where market participants live and work. Market area analysis focuses on the four forces – social, economic, governmental, and environmental- that influence value."

The primary goal of the neighborhood analysis is to determine perceivable patterns of growth, structure and change that may detract from or enhance property values. The analysis provides a context in which the property values are estimated.

The property that is the subject of this report is in Midland County, Texas, which is situated approximately equidistant between Fort Worth, Texas and El Paso, Texas. The subject market area includes the Permian Basin which includes the larger cities of Odessa and Midland and many smaller towns and communities within a 60-mile radius. A well-developed transportation system links Odessa/Midland with other major cities in the nation.

Midland is primarily served by Interstate Highway 20 (I-20), a major east-west route forming part of the national interstate system, which passes along the city's southern edge. State Highway 349 (Big Spring Street/Rankin Highway) serves as a key north-south artery through Midland. Connecting Midland and Odessa, U.S. Highway 80 (also Business Interstate 20) links the central business districts, while State Highway 191 provides a freeway connection between the northern areas of both cities. Loop 250 also provides significant circulation around the city.

Neighborhood Analysis

Boundaries

The subject neighborhood can be broadly defined as that portion of south-central Midland, Midland County, Texas, bounded by Business Interstate 20 (BI-20) to the North, S Lamesa Rd to the East, Interstate 20 (I-20) to the South, and S Garfield St to

the West. The subject property, located at 1409 Connell St, is situated within the interior of this defined area, benefiting from its position relative to these key transportation corridors. These boundaries are primarily defined by major roadways which act as man-made barriers, delineating the subject neighborhood from adjacent areas that may exhibit differing land use characteristics, market influences, or accessibility patterns.

The northern boundary of the subject neighborhood is formed by Business Interstate 20 (BI-20), known locally in segments as W Wall St or E Wall St. This major east-west thoroughfare typically functions as a four-lane divided highway, often accompanied by parallel one-way frontage roads on both its north and south sides, effectively increasing its capacity and access points. BI-20 experiences significant daily traffic volume, comprising a mix of local commuters, commercial traffic, and regional travelers accessing various points within Midland. Land use along this corridor within the neighborhood context is predominantly commercial and light industrial, featuring retail outlets, automotive services, motels, restaurants, and various business park developments. Its character as a high-traffic, commercially oriented arterial serves as a distinct functional demarcation, separating the subject neighborhood from potentially different land use concentrations or market dynamics located further north.

S Lamesa Rd delineates the eastern perimeter of the subject neighborhood. This roadway serves as a significant north-south collector/arterial street, generally configured as a two- to four-lane road depending on the specific segment. It facilitates considerable local traffic movement, providing essential connectivity between the major east-west corridors of I-20 and BI-20, as well as access to the interior residential and commercial properties within the neighborhood. Adjacent land uses along S Lamesa Rd typically present a mix of commercial and service-oriented businesses fronting the road, transitioning to established single-family residential subdivisions, and potentially some multi-family complexes, further to the east. S Lamesa Rd functions as a transitional boundary, marking the eastern extent where the immediate influence of the neighborhood's mixed-use core gives way to more predominantly residential areas.

The southern boundary is definitively established by Interstate 20 (I-20), a major component of the U.S. Interstate Highway System. I-20 is a multi-lane (typically six or more lanes total), limited-access freeway engineered for high-volume, high-speed regional and interstate traffic, including substantial commercial freight movement. It is paralleled by continuous frontage roads which provide access to adjacent properties and interchanges. However, currently this section of interstate 20 in the Midland area is under intense construction of both the main highway and

the frontage roads on both sides as needed to keep the traffic moving. However, there are times when it backs up and delays transit. Land utilization immediately flanking the I-20 corridor is strongly influenced by the highway itself, characterized by highway-support uses such as lodging facilities, fuel stations, quick-service restaurants, and increasingly, logistics centers and industrial parks. I-20 represents a significant physical and psychological barrier, clearly separating the subject neighborhood from distinct development patterns, often more industrial or sparsely developed land, situated to its south. Its physical presence and high traffic volumes limit direct connectivity except at designated interchanges.

S Garfield St forms the western boundary of the subject neighborhood. This roadway functions as a primary north-south arterial within the city of Midland, typically configured as a four-lane road, potentially with a center turn lane in sections, designed to accommodate substantial traffic flow. S Garfield St experiences high daily traffic counts, serving as a critical connector linking southern Midland, including access points near I-20, with the central business district and areas north towards BI-20. The corridor along S Garfield St is characterized by intensive commercial development, including retail centers, professional offices, financial institutions, restaurants, and various service establishments, representing a major commercial artery for the city. Functionally, S Garfield St delineates the western edge of the subject neighborhood, separating its internal land use mix from the continuous commercial development along the arterial itself and other distinct districts further west.

<u>Analysis Overview by Sector</u>

This area exhibits a mix of commercial, light industrial, service, and some residential uses, heavily influenced by the major roadways that form its perimeter.

Industrial & Commercial Activity:

- The northern boundary along BI-20 is characterized by significant commercial and light industrial activity, including business parks, automotive services, and retail outlets. This high-traffic arterial separates the neighborhood from potentially different land uses further north.
- The southern boundary along I-20 features highway-support uses and increasing logistics/industrial park development, driven by the interstate's role in regional freight movement. I-20 acts as a distinct barrier to the south.
- While specific major industrial employers *within* the core neighborhood are not detailed in readily available public data, the surrounding area hosts numerous oilfield service and manufacturing firms that utilize the access provided by the

boundary roads. General industrial activity includes businesses involved in machine shops, manufacturing, and various oil & gas support services like chemical sales and drilling.

- Rankin Highway (SH 349), a designated truck route connecting I-20 and BI-20 through this part of Midland, provides crucial north-south access for commercial and industrial traffic, supporting logistics for businesses within and around the neighborhood.
- The broader Midland economy, heavily influenced by the energy sector, supports this industrial activity.

Retail & Highway Service Businesses:

- S Garfield St (Western Boundary) features intensive commercial development including retail centers, restaurants, financial institutions, and service businesses. El Rancho Boots is located at 900 S. Garfield St. Digital advertising exists at the intersection of Business 20 and Garfield, indicating commercial focus.
- BI-20 (Northern Boundary) hosts retail outlets and restaurants alongside its commercial/industrial uses.
- S Lamesa Rd (Eastern Boundary) has commercial and service businesses fronting the road, transitioning towards residential areas further east.
- The I-20 corridor (Southern Boundary) is characterized by highway-support retail such as fuel stations and quick-service restaurants, catering primarily to travelers and the trucking industry.
- Rankin Highway (SH 349) serves as another significant commercial corridor in the vicinity, hosting various service businesses and contributing to the overall retail activity accessible from the neighborhood.

Hospitality (Hotels and Lodging):

- Several hotels are clustered near the neighborhood boundaries, particularly along the southern edge near I-20. These include:
    - Comfort Inn Midland South I-20 (910 W I-20)
    - TownePlace Suites Midland South/I-20
    - Holiday Inn Express & Suites Midland South I-20
    - Hampton Inn Midland South (2201 Camp St)
- Lodging options are also present near the northern boundary, such as the

Wyndham Garden Midland (3100 W Wall St). These establishments cater to business travelers, particularly those connected to the energy sector, and general travelers utilizing I-20 and BI-20.

- The connectivity provided by Rankin Highway (SH 349) between I-20, BI-20, and central Midland likely influences lodging demand and provides convenient access for guests staying at hotels near the neighborhood boundaries.

Recent Developments and Trends:

- **Infrastructure Upgrades:** The neighborhood boundaries are significantly impacted by ongoing and planned infrastructure projects.
    - **I-20 Corridor Improvements:** A major TxDOT project is underway to improve the I-20 corridor through Midland-Odessa. This includes adding main lanes, widening shoulders, converting frontage roads to one-way (completed mid-2024), reconstructing interchanges, and potentially converting underpasses to overpasses, including at S Lamesa Road. These changes aim to enhance safety, reduce congestion, and improve access along the southern boundary.
    - **BI-20 Improvements:** Work has occurred at railroad crossings along BI-20, including repairs at the Garfield St intersection following damage and a longer-term project involving paving, signals, and drainage improvements near N. Fairgrounds Rd (just east of this neighborhood) extending into 2025.
    - **Rankin Highway (SH 349)** is part of the city's major arterial network and may be subject to future traffic flow adjustments or improvements as part of broader regional transportation planning, potentially impacting access patterns.
- **Commercial/Industrial Market:** While specific large-scale developments *within* the defined bounds weren't prominent in recent searches, the general Midland industrial market remains strong, driven by energy logistics. The focus along the boundary corridors, especially I-20, appears geared towards capitalizing on transportation access.

In summary, the subject neighborhood is strategically located between two major east-west corridors (I-20 and BI-20) and bounded by significant north-south arterials (S Garfield St and S Lamesa Rd). Rankin Highway (SH 349), another key north-south arterial and designated truck route, also runs through this part of Midland, connecting I-20 to areas north towards the central business district and BI-20, further enhancing connectivity. Land use is mixed but heavily influenced by these transportation routes, featuring commercial and light industrial activity along BI-20, intensive commercial development along S Garfield St, highway support

services along I-20, and transitional uses along S Lamesa Rd. Significant ongoing infrastructure projects on I-20 and BI-20 are enhancing accessibility and modernizing the transportation framework around the neighborhood.

Market Area

The larger Market Area includes both Odessa and Midland and the area between the cities particularly on the connecting traffic arteries. These areas along with the industrial parks and districts are prominent industrial and commercial areas. A vast amount of new high-end residential and commercial development is occurring all throughout the market area at the eastern edge of Odessa and the western edge of Midland as the two cities grow closer together.

Economic Trends

The Midland–Odessa economy remains closely tied to the energy sector. Oil production in the Permian Basin hit a record high of ~6.2 million barrels per day in mid-2024 despite a reduced rig count, thanks to technological efficiencies[1]. This surge in output underscores the region's economic momentum, as the Permian Basin is often called "the US oil business," holding roughly half of U.S. oil reserves and boasting some of the lowest production break-even costs[2]. Employment trends have reflected the energy market's swings – after rapid post-pandemic growth, job numbers dipped slightly in early 2024 (down ~1.4% annualized through June) with losses concentrated in oil-related sectors[3]. Still, unemployment remains low by state standards, and wages – while briefly softening – are generally high due to oilfield demand. Local experts maintain an optimistic outlook, projecting continued economic expansion over the next five years driven largely by oil and gas[4]. At the same time, the area is pursuing diversification in sectors such as healthcare, aerospace, data centers and even renewable energy (e.g. wind, solar, carbon capture) to broaden its economic base[5]. This balancing act – leveraging energy wealth while attracting new industries – is set to define Midland/Odessa's economic trajectory moving forward.

Population Growth & Demographics

The Midland/Odessa region has experienced steady population growth, largely mirroring the boom-bust cycles of the energy industry. Coming off the 2010s oil

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[1] Permian Basin Economic Indicators - Dallasfed.org
[2] Commercial Real Estate in the Permian
[3] Permian Basin Economic Indicators - Dallasfed.org
[4] Midland, Odessa economies to grow significantly, economist says
[5] Midland Economic Development | TxEDC

boom, Midland's population jumped over 16% from 2012 to 2022[6] (reaching an estimated 182,000 in the metro area by 2023[7]). Odessa's population has grown as well – roughly 11% growth over the last decade[8] – placing the combined metro area around 365,000 residents. Recent estimates show growth continuing post-COVID, with Midland city up 4.4% since 2020 (to ~138,000 residents)[9] and Odessa city hovering around 116,000. Much of this rise is driven by in-migration of workers attracted by oilfield jobs, alongside relatively high birth rates.

Demographically, the area skews young and family-oriented – the median age is about 32–33, a few years below the U.S. average[10] [11]. This reflects the influx of working-age adults in energy and supporting industries. Education and income levels are mixed – oil careers have attracted a high-skilled contingent (Midland boasts nearly twice the national average concentration of engineers[12]), yet the area also includes many blue-collar workers. Median household incomes are solid (around $83K in Midland MSA[13]) thanks to lucrative energy wages. Overall, the population trend is one of moderate growth, tied to the health of the energy sector: rapid expansions during oil booms, tempered by plateaus (or slight declines) during downturns. As the local economy diversifies, population growth is expected to remain positive, albeit at a manageable pace.

Real Estate Trends - Residential Market

Home prices in Midland–Odessa have climbed significantly in the past year (2024), driven by both demand and inflation in construction costs. As of mid-2024, the median existing home price in the region reached about $319,000, up 10.3% year-over-year[14]. Even with higher mortgage rates nationally, the local housing market stayed resilient thanks to the influx of workers and relatively limited supply. That said, sales activity has cooled from its frenzied peak. Home sales in the Permian Basin in June 2024 were roughly flat month-over-month but down nearly 13% from a year prior – in fact, Midland and Odessa home sales are about 26% below the boom-time peak of May 2022. This pullback in transactions has led to a gradual rise in housing inventory. Midland now has about 3.2 months of housing supply, slightly above pre-pandemic levels, while Odessa sits at 2.1 months, still

[6] The West Texas Region
[7] Population of Midland TX
[8] The West Texas Region
[9] Population of Midland TX
[10] The West Texas Region
[11] Population of Midland TX
[12] Midland Economic Development | TxEDC
[13] Population of Midland TX
[14] Permian Basin Economic Indicators - Dallasfed.org

below its 2019 norm. For context, a six-month supply is considered a balanced market, so both cities remain undersupplied, especially Odessa. Housing demand therefore continues to outstrip supply, keeping upward pressure on prices, but buyers have gained a bit more leverage than during the recent oil boom.

To accommodate growth, a number of new residential developments are in the pipeline. For example, Odessa officials recently approved a planned subdivision of 552 single-family homes with parks and dog-friendly amenities on the city's east side[15]. Likewise, a large 159-acre mixed-use project (proposed by a local developer) will bring *"resort-style"* living to the area – including a golf course, equestrian center, and upscale housing – marking Odessa's first venture into a true mixed-use community. In Midland, builders are also active: infill housing and new subdivisions are expanding options on the city's fringes, and multi-family projects (e.g. planned apartments and townhomes) aim to ease the tight rental market. Overall, the residential real estate scene is characterized by rising home values and developers racing to keep up with population and job growth. While higher interest rates and low inventory have slightly slowed the market, there is some steady activity in the housing sector.

Real Estate Trends - Commercial Market

The commercial real estate sector in Midland/Odessa is seeing divergent trends across retail, office, and industrial segments as it adapts to the post-pandemic economy:

- Retail: The retail market is expanding aggressively, fueled by population gains and rising incomes. Several high-profile projects are underway that will reshape the shopping and entertainment landscape. Notably, Bass Pro Shops has broken ground on a 100,000 sq. ft. "Outdoor World" superstore – scheduled to open in spring 2025 – which will anchor the new 158-acre Dorado Destination retail center along State Hwy 191[16]. This destination retail project (a partnership with developer ICA Properties) is expected to draw shoppers from across the Permian Basin. Similarly, Costco is investing in a major store in west Midland, with city leaders touting it as the largest Costco in Texas at ~174,000 sq. ft[17]. The arrival of Costco is slated to kick-start a new retail corridor along the SH 191 corridor in Midland, attracting restaurants and ancillary stores to serve the influx of regional shoppers. The Costco has been constructed at a quick pace and it appears to be 90% complete at the writing of this report. Beyond big-box stores, mixed-use lifestyle projects are

[15] CitizenPortal.ai - New housing development proposal sparks community debate
[16] Bass Pro Shops moving into Odessa | Texas Real Estate Research Center
[17] News Flash • Destination transformation in Midland just star

also advancing. In central Midland, the Summit Center – a 20-acre development featuring shops, dining, office space and a 4-acre park – opened in 2024, creating a family-friendly community hub[18]. These investments have kept retail vacancy rates low (many national chains and local entrepreneurs are vying for space), and they signal strong retailer confidence in the local consumer base. Overall, retail real estate is a bright spot, with new entrants and expansions positioning the Midland/Odessa market as a regional shopping destination.

- Office: In contrast, the office market remains soft. The energy downturn of 2020 and the rise of remote work left the area with elevated office vacancies that it is still working through. Midland's office vacancy rate was about 28% in 2023, among the highest in Texas[19]. Demand for large office spaces has been slow to recover, as many oil companies downsized footprints or subleased space after 2020. Developers have responded by *rethinking* and repurposing under-used office properties. A striking example is the former six-story Chase Bank building in Midtown Midland: finding that *"big office buildings have not been in high demand since the pandemic,"* the owners demolished the structure to redevelop the site for restaurants and retail instead[20]. Multiple new restaurant and convenience store pad sites are planned there, illustrating the preference for commercial uses that generate foot traffic over speculative office towers. New office construction is minimal – limited mostly to build-to-suit projects for specific tenants (often in the medical or public sector). On a positive note, the overall employment growth in 2023-24 has begun to chip away at office vacancy, and leasing activity for small-to-midsize professional spaces has improved somewhat. However, given the ample existing inventory, office rents remain competitive and landlords are offering incentives. Until job growth accelerates further (or older stock gets absorbed or converted), the office sector is likely to lag other real estate segments. Currently in Q1 of 2025, the US Office vacancy has risen to around 22%. Up from 2024.

- Industrial: The industrial real estate market is booming, underpinned by the region's energy logistics needs. Warehouse, yard, and flex-space demand is robust, as oilfield service companies, manufacturers, and distributors expand operations. Midland's industrial vacancy was only ~6% as of Q1 2024, slightly below the U.S. average, after about 280,000 sq. ft. of space was absorbed in

[18] Neighbors Call Development of Summit Center in Midland 'good for the Community'

[19] Midland Office Rent Price & Sales Report - CommercialCafe

[20] Midland redevelopment to bring new retail, restaurants to former bank

the past year[21]. Odessa's industrial sector mirrors this strength – tenants there absorbed over 220,000 sq. ft. in the past year, driving rents up ~4% and pushing vacancies down (though Odessa's industrial vacancy is still a tad higher, it narrowed by 1.5% over the year)[22]. New construction is occurring but remains targeted. A headline project is Liberty Energy's new regional headquarters in Odessa, a $50 million complex in the Leeco Industrial Park that will include a 42-bay maintenance shop, six-bay truck wash, a 50,000 sq. ft. warehouse, and a two-story office/training center[23]. This massive facility, now under construction, is consolidating Liberty's operations and will allow room for an additional 500 employees – a major investment in local infrastructure. Another transformative project is Nacero Inc.'s planned $7 billion Penwell plant, just west of Odessa, which will produce gasoline from natural gas. Slated to begin production in 2025, the Nacero plant (one of the largest industrial investments in West Texas) has spurred ancillary industrial activity and construction in the area. Given these developments and a "manageable" pipeline of new projects, analysts expect industrial vacancies to remain contained going forward. The combination of sustained energy-sector demand and the region's growing role as a logistics hub (Midland's rail, highway and air connections make it a staging ground for Permian operations) keeps this segment extremely healthy. In short, industrial real estate is a hot commodity, and it continues to expand in tandem with the Permian Basin's needs. Upon consultation with market participants in the Midland warehouse sector, these properties are sitting on the market for extended periods and they are actively lowering the prices month after month.

Major Infrastructure Projects

Midland and Odessa are investing heavily in infrastructure upgrades to support growth and improve quality of life. Several significant projects – from highways to downtown redevelopment – are underway or planned:

- Interstate 20 Widening: The most ambitious initiative is the overhaul of I-20, the key east-west freeway through Midland/Odessa. In late 2024, TxDOT launched a $424 million I-20 corridor improvement program spanning ~11 miles of the metro area[24]. This project will add main lanes, rebuild interchanges, and reconfigure frontage roads to one-way travel for safety. Construction kicked off with frontage road rebuilds (shifting traffic patterns

[21] Q1 2024 Market Recap | West Texas
[22] Q1 2024 Market Recap | West Texas
[23] Liberty Energy to build regional headquarters in Odessa
[24] TXDOT plans $424M I-20 upgrades in Midland, Odessa

in 2024) and is ramping up to major work in 2025. New interchange construction is slated at Faudree Road and County Roads 1300 & 1260 in East Odessa, addressing what were high-congestion, high-crash intersections. The improvements will enhance mobility and freight movement along I-20, which sees heavy truck traffic from the oil fields. As part of this effort, by mid-2024 all I-20 frontage roads were converted to one-way traffic flow (a significant change from the previous two-way frontage system). The interstate widening and redesign is a multi-year endeavor, but upon completion it will greatly increase capacity, reduce bottlenecks, and improve connectivity between Midland, Odessa, and surrounding communities.

- Highway and Loop Upgrades: Beyond I-20, other road projects are addressing growing traffic demands. A notable example is the State Highway 191 at FM 1788 intersection expansion, where Midland and Odessa meet near the airport. In April 2024, officials broke ground on a $10.7 million project to widen that busy intersection, add turn lanes and pave new turnarounds. This will relieve a known choke-point used by commuters and oilfield trucks between the two cities. Looking ahead, long-range plans call for widening Midland's Loop 250 (the city's main loop road) to six lanes and modernizing its interchanges[25]. Similarly, Odessa's Loop 338 has identified needs for expansion and safety improvements. One visionary plan in the Forward 50 regional transportation blueprint is to establish an Interstate 27 connector to the Permian Basin – effectively extending I-27 from Lubbock down to Midland/Odessa. The proposal would upgrade existing routes (like SH 349 and FM 1788 via the Craddick Hwy) into an interstate-grade facility that ties into I-20. While this is a long-term project, local leaders consider it crucial for boosting commerce (part of the Ports-to-Plains Corridor initiative). All of these road and highway investments aim to improve safety, reduce congestion, and facilitate the region's continued expansion.

- Downtown & Civic Developments: Infrastructure investment isn't limited to transportation – both cities are channeling funds into urban development and amenities. In downtown Midland, a major public-private venture is the Omni Midland Hotel, a full-service 135-room hotel with a rooftop pool, ballroom (7,000 sq. ft.), and 15,000 sq. ft. of meeting space[26]. Odessa has its own downtown initiatives, including facade improvements and plans for a hotel/conference center, though those are in earlier stages.

- Community & Recreational Infrastructure: The cities recognize that

[25] MPO releases long-term plans for I-27 construction, Loop 250 improvement
[26] City of Midland - News Flash • Destination transformation in Midland

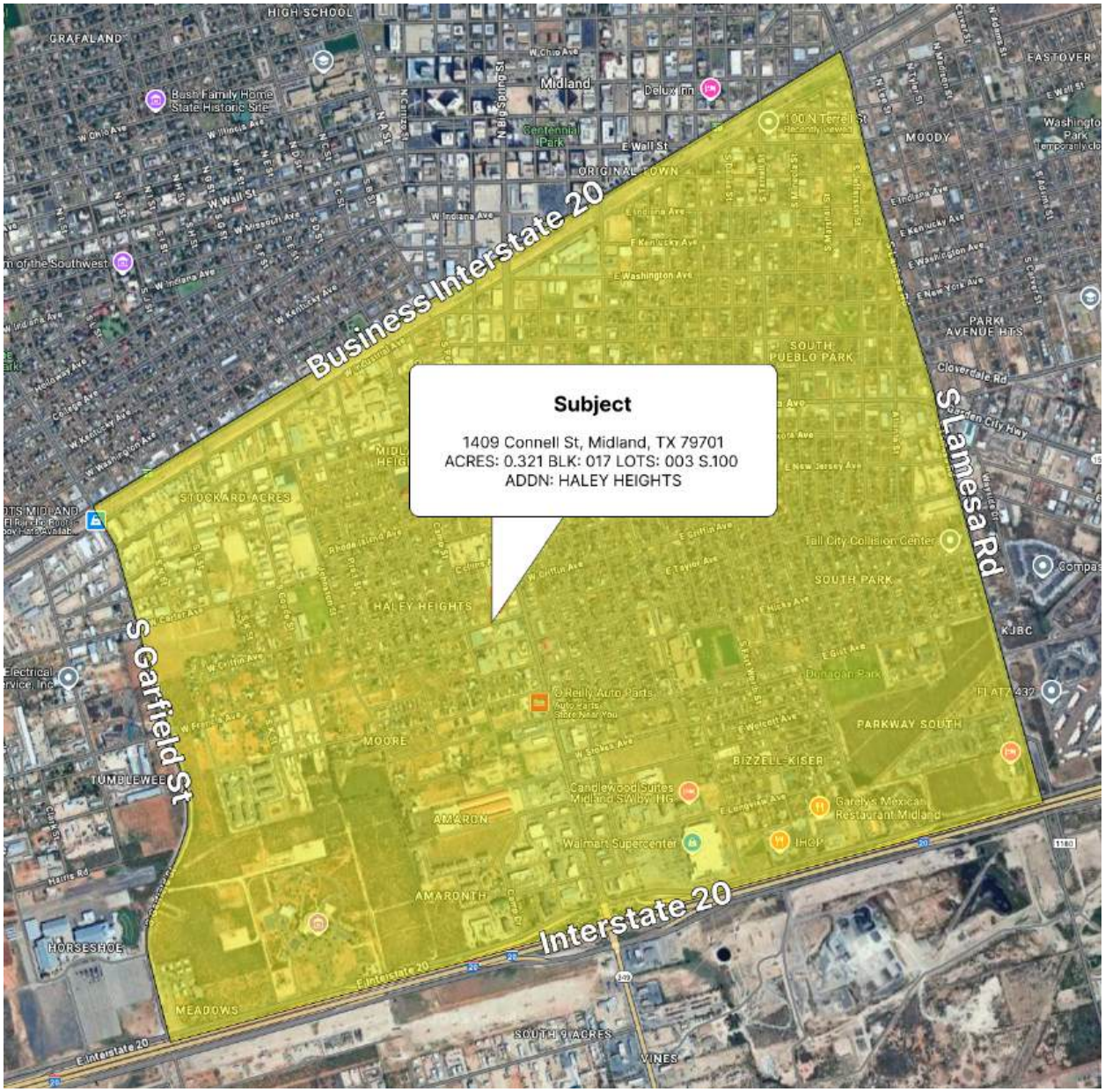
quality-of-life infrastructure is vital for attracting and retaining residents. Midland completed new Little League baseball fields at Reyes-Mashburn-Nelms Park and approved a multi-million dollar upgrade to the 36-hole Hogan Park golf facility (including new irrigation and turf). There are also plans for an indoor sports hub: a $30+ million basketball/volleyball center at the Scharbauer Sports Complex, expected to host regional tournaments once finished. These investments will bolster sports tourism and local recreation, bringing in tournaments and revenue while giving residents first-class facilities. Odessa, for its part, is working on a new parks Master Plan to add to the modern aquatic centers and outdoor sports fields through school and city partnerships. A large donation of land to the city of Odessa from the Amy Bell Family of around 100 acres on the NE side of town is slated to be a large sports complex with indoor and outdoor facilities.

- Business Parks & Other Investments: Industrial infrastructure is growing through dedicated business parks. Midland's Spaceport Business Park, adjacent to the Midland International Air & Space Port, continues to attract aerospace and defense companies with "shovel-ready" sites and R&D facilities (drawing firms like AST SpaceMobile and Firehawk Aerospace). In Odessa, the ODC (Odessa Development Corporation) is supporting the build-out of industrial parks like Leeco (site of the new Liberty Energy campus) and others, with improved roads and utilities to accommodate large employers. Additionally, both city and county governments are investing in water and sewer expansions to newly developed areas, and in strengthening the electric grid capacity – critical needs noted by industry experts for sustaining long-term growth[27].

All told, Midland/Odessa's infrastructure upgrades – from highways to hotels – reflect a region in the midst of evolution. Officials are proactively addressing bottlenecks (road congestion, overtaxed civic facilities) that arose from the last energy boom, while laying groundwork for future expansion. These projects not only improve daily life (safer roads, more amenities) but also enhance the local business climate, ensuring the Midland/Odessa area remains an attractive place to live, work, and invest for years to come.

[27] Midland, Odessa economies to grow significantly, economist says

NEIGHBORHOOD MAP



SUBJECT PROPERTY ANALYSIS

SITE ANALYSIS

Location

1409 Connell St, Midland, Midland County, TX 79701

Size and Configuration

The subject is a rectangular shaped tract of land approximately containing about 0.321 acres or ~13,982.76 square feet. Primary access to the property is provided by Taylor Avenue via Rankin Highway. Secondary access is provided by Connell Street.

Topography/Drainage

The topography of the property appears to be basically level; however, there appears to be enough slope to allow for adequate water drainage.

Soil and Subsoil Conditions

The appraiser was not provided with a soil or subsoil survey; however, it is assumed that the soil and subsoil conditions are typical of the West Texas Area and will not require excess footings and/or foundations. The appraiser, however, is not qualified to detect any defective condition, so the client is urged to retain an expert in the field if desired.

Zoning

The subject property is classified under the City of Midland's zoning ordinance as C, Commercial District. The surrounding areas are a mix of commercial and retail zoning. Properties immediately adjacent to the west across Camp Street, to the east, and directly south across W Francis Avenue share the subject's C, Commercial District zoning designation. Areas further east across Rankin Highway, directly north across Connell Street, and further south across W Hicks Avenue are zoned RR, Regional Retail District. The immediate vicinity is predominantly characterized by commercial uses, consistent with the subject's zoning, with regional retail developments situated along the nearby major thoroughfare (Rankin Hwy) and adjacent blocks.

Property Taxes

The subject property is located in Midland, Midland, Texas and is taxed based on values established by the county tax assessors. The tax rates are applied to the assessed value of the subject property, and the taxes for the subject property are then estimated. The taxes are estimated per $100 of assessed value. This property is subject to taxes for the Midland County, City of Midland, Midland Hospital, Midland College, and Midland ISD. The 2024 combined tax rate for these authorities is $1.52. The 2024 taxes were $4,507.41 with an evaluation by the Midland County Appraisal District of $297,220 net assessed value for each parcel as noted in the Property Identification section above.

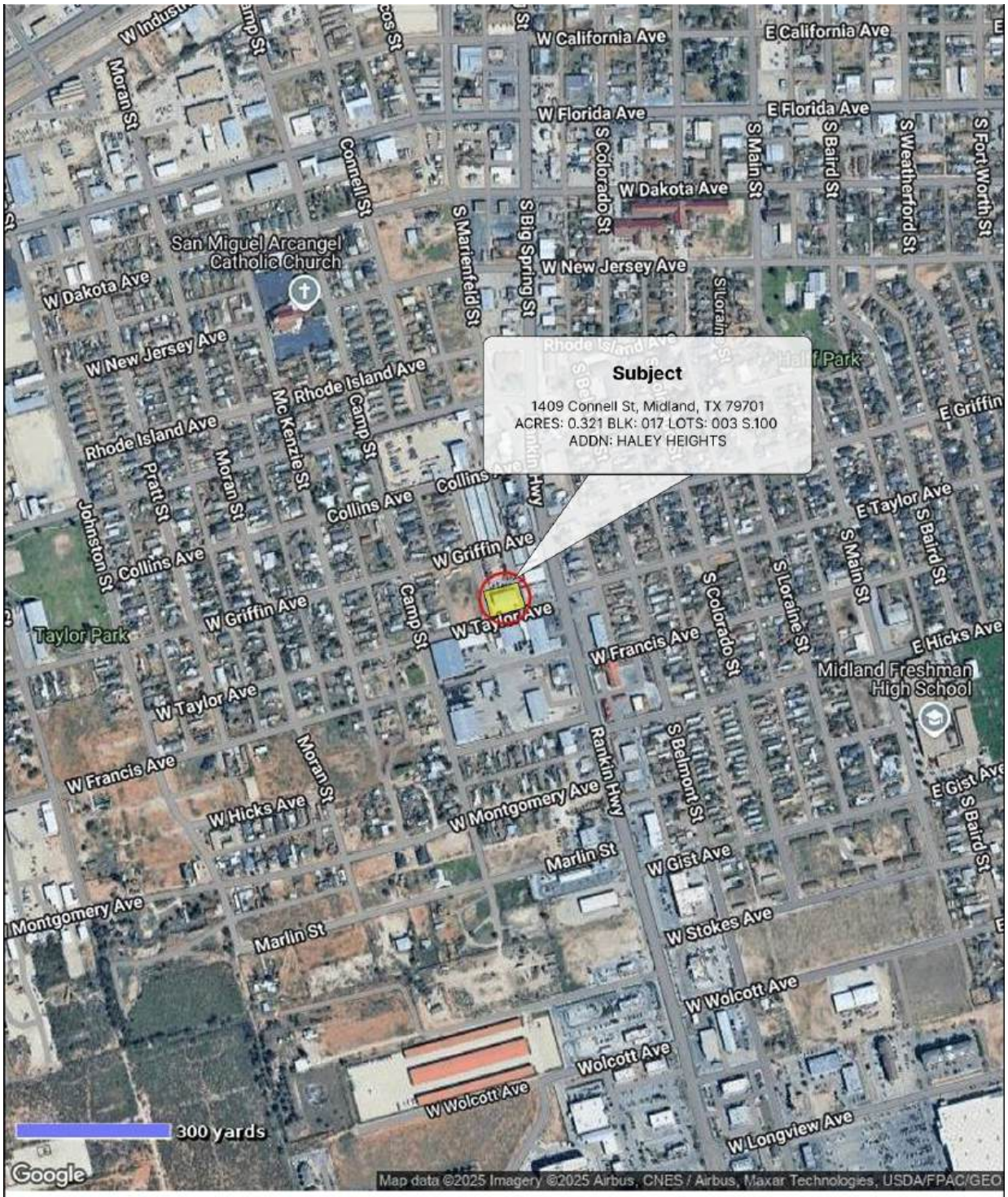
The subject displays a combined assessment of $297,220. With the appraised value on the effective date of $540,000 the taxes of the market value would be approximately $8,189.24.

Flood Plain

According to FEMA Map #48329C0202F of 09/16/2005, the subject property is in FEMA Zone X, and is **NOT** in a FEMA Special Hazard Flood Area. The client is urged

to retain an expert in the field if necessary.

Flood Map



MAP DATA

FEMA Special Flood Hazard Area: **No**
Map Number: **48329C0202F**
Zone: **X**
Map Date: **September 16, 2005**
FIPS: **48329**

MAP LEGEND

Powered by CoreLogic®

- Areas inundated by 500-year flooding
- Areas inundated by 100-year flooding
- Velocity Hazard
- Protected Areas
- Floodway
- Subject Area

Utilities and Public Services

Utilities/Services	Provided By
Electricity	Oncor
Natural Gas	Atmos Energy, EPCOR Utilities
Telephone/Internet	AT&T, Optimum, T-Mobile, EarthLink, HughesNet, Viasat, Grande Communications
Police and Fire Protection	City of Midland
Water and Sewer	City of Midland

Easements and Encroachments

Upon inspection of the property and records affecting such, there appear to be no easements or encroachments that would affect the subject property in a negative manner.

Subject Property Development

Subject property is located on a corner lot and is currently developed with a single warehouse building. The surrounding streets are paved with asphalt. Subject Improvement Analysis follows.

IMPROVEMENT ANALYSIS

The site is currently improved with one metal building totaling 6,000 square feet, which functions entirely as warehouse space. This structure was built in 2008. Based on the construction year and effective date of the report, the effective age is considered to be 15 years, and its overall physical condition is assessed as average.

General construction details are as follows:

Gross Building Area:	6,000 SF
Net Leasable Area:	6,000 SF
Foundation:	Poured, reinforced concrete
Exterior Walls:	Pre-engineered insulated metal
Roof:	Metal
Exterior Doors:	Exterior metal doors (x2) and metal roll up doors (x3)
Windows:	None
Floors:	Concrete
Electrical Outlay:	Fluorescent overhead lighting throughout. Standard for building use. Adequate electrical outlay
Plumbing:	Public water and sewer, two restrooms with sinks and a shop sink
Mechanical:	No central heat and air
Interior Finish:	None
Other:	Concrete parking and drives with chain link fencing with 3 strand barb wire on W Taylor Avenue and partial fencing on Connell St. The entrance on Connell St has a concrete sloped driveway.

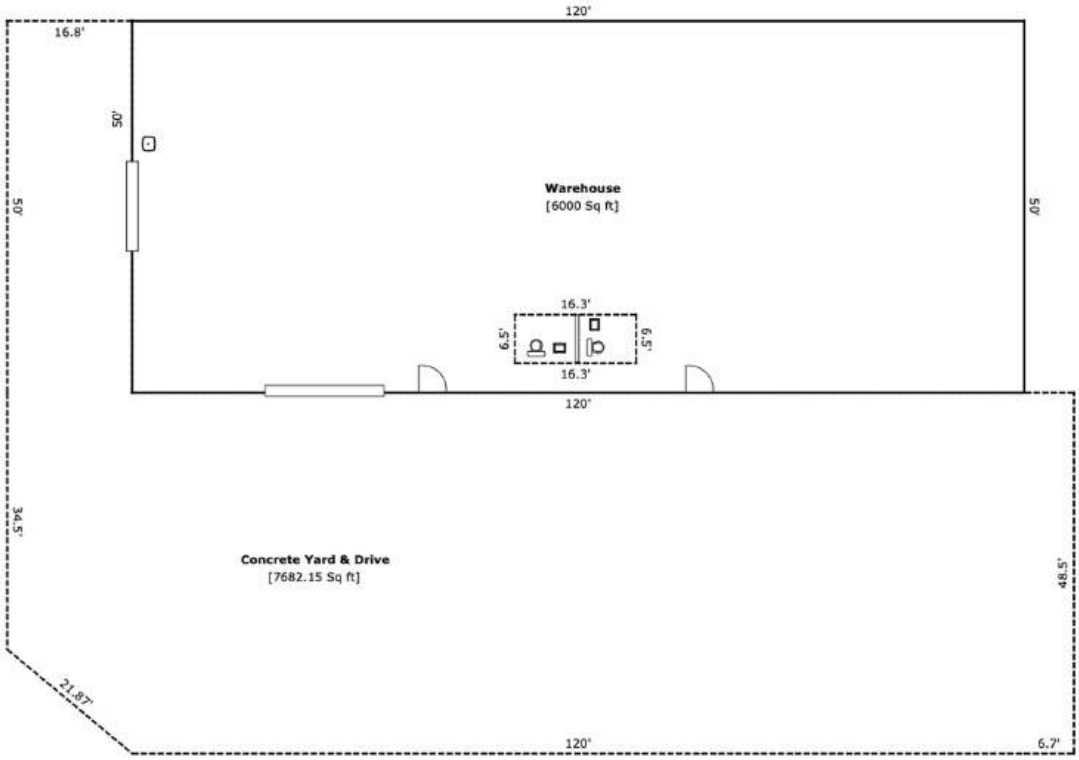
OWNERSHIP / SALES HISTORY

The property was obtained by Lewallen Garcia holdings LLC from Grantor Equity Trust Company Custodian FBO and Reddy K Praveen IRA. The deed is dated January 3, 2023 as recorded in the deed records of Midland County, Texas, Document No. 2023-9. The Instrument Date was 12/29/2022.

Summary and Conclusion

The subject site contains good accessibility and average exposure. Property is around similar businesses and sites. Subject is located on the northeast corner of Connell Street and W Taylor Street just one street behind Rankin Highway. Location provides an easy commute to three major access roads (Rankin Hwy, I-20 and Hwy 80). The property has been adequately maintained and retains functionality. The property is not in the flood zone. This site's location and exposure may be attractive to a variety of commercial utilizations.

BUILDING SKETCHES



Area Calculations Summary

Living Area		Calculation Details			
Warehouse	6000 Sq ft		120 × 50	=	6000
Total Living Area (Rounded):	**6000 Sq ft**				
Non-living Area					
Concrete Yard & Drive	7682.15 Sq ft		0.5 × 16.8 × 14	=	117.6
			84.5 × 16.8	=	1419.6
			48.5 × 126.7	=	6144.95
Restrooms	105.95 Sq ft		6.5 × 16.3	=	105.95

HIGHEST AND BEST USE / MARKET ANALYSIS

Highest and best use is defined by The Appraisal of Real Estate, 9th Edition, American Institute of Real Estate Appraisers, as:

"The reasonable probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and results in the highest value."

Because the presence of improvements can limit a parcel of land's possible uses, highest and best use is determined separately for the land as vacant and available to be put to its highest and best use, and for the property as improved. The highest and best use of the land as vacant and available for use may be different from the highest and best use of the improved property. This will occur when existing improvements create value in excess of the land alone, but do not add maximum value since the improvements are not the most beneficial use.

Whether vacant or improved, the highest and best use of land must meet the following four criteria:

1) Physically Possible	The uses that can be physically placed on the site.
2) Legally Permissible	The uses that are allowed by zoning and deed restrictions.
3) Financially Feasible	Any possible and permissible use that will produce a net return to the land and the owner.
4) Maximally Productive	The feasible use that will produce the greatest net return or highest present worth to the land.

Site As Vacant

The Highest and Best Use Analysis of the subject site, as vacant, begins by considering the various physical characteristics. Uses might be limited by physical attributes such as size, frontage, topography, soil and subsoil conditions and utility availability. Each factor can limit the possible uses for the site.

The subject site contains approximately 0.321 acres or ~13,982.76 square feet north of Interstate 20 in the south eastern part of Midland, Texas in Midland County. The topography and the soil and subsoil conditions appear to be adequate. In addition, the site contains current access to electricity and City of Midland water and sewer. The subject property appears to be of sufficient size and shape to accommodate a wide range of possible uses. The site is primarily surrounded by light industrial or retail uses. Access to the subject's neighborhood is considered average to good due to its location near area primary traffic arteries.

Secondly, the use must be legally permissible. Zoning, deed restriction, building codes, and environmental regulations are all legal restrictions, which may limit the site's highest and best use.

The subject property is classified under the City of Midland's zoning ordinance as C, Commercial District. The surrounding areas are a mix of commercial and retail zoning. The immediate vicinity is predominantly characterized by commercial uses, consistent with the subject's zoning, with regional retail developments situated along the nearby major thoroughfare (Rankin Hwy) and adjacent blocks. No private deed restrictions were uncovered during a normal investigation which would further limit the potential uses of the subject property at the time of the appraisal, which would further restrict its development.

When considering financial feasibility, supply and demand factors are major determinants. As described in the Neighborhood Analysis section, the subject's defined neighborhood contains a variety of developments.

The prior consideration of physically possible uses and legally permissible uses does not significantly narrow the use of the subject property. Although the subject site legally and physically allows for the development of a wide variety of utilizations, only those which produce income and/or a return ample to fulfill the requirements of operating expenses, financial expenses, and capital amortization are regarded. Location on the southeast corner of Connell St and Taylor Ave affords the site average accessibility, and adequate view, and exposure. The ideal use of the property would be one in conjunction with a light industrial use.

Site As Improved

The four criteria previously mentioned must also be met for the site's proposed improvements to be representative of the highest and best use.

The subject property consists of a 6,000 SF warehouse facility on 0.321acres of land. The subject's improvements are generally in line with similar commercial developments in the area.

The overall value of the building as improved exceeds the value of the property as vacant; therefore, an informed purchaser would leave the existing improvement intact. Based on the information, the physical possibilities of the subject would be for use as a warehouse facility.

The use of the land with the improvements, is physically possible and assumed to be legally permissible based on the commercial zoning and surrounding developments. No private deed restrictions were uncovered during a normal investigation which would further limit the potential uses of the subject property at the time of the appraisal, which would further restrict its development. The building is situated in such a manner as to provide reasonable on-site traffic flow. Currently there are no other legally permissible uses which would economically justify the demolition of existing improvements and property redevelopment. As a result, the highest and best use for the site as improved is for its existing use as a commercial utilization.

With this being said, the market participants interviewed throughout the appraisal process have all indicated that in this current market, there is more sales inventory and rental inventory in this sector than is typical. In addition, they said the active listings that are up for sale are not moving at this time. The commercial realtors are reducing prices on their listings each month to try to stimulate activity.

SUBJECT PROPERTY VALUATION

VALUATION PROCESS

As previously mentioned, two approaches to value will be used in order to obtain a value estimate for the subject property. The Sales Comparison Approach will be utilized to determine the market as a whole. Secondly, since there are a few available leases of warehouse or office warehouse facilities, the income approach to value will also be developed.

SALES COMPARISON APPROACH

When adequate historical market data pertaining to properties similar to subject is available, the Sales Comparison Approach can be very reliable. The Appraiser must do five things in order to apply this approach:

1. Obtain market information on sales transactions, listings, and offerings to purchase properties similar to the subject property.
2. Verify the data obtained to assure its correctness and acquire the terms of sale to see that they reflect an arm's length transaction.
3. Analyze each of the comparable properties' important characteristics with the corresponding ones of the subject property in order to derive the appropriate elements of comparison (e.g., time, location, and other characteristics – physical and economical).
4. Use the elements of comparison abstracted in the previous step in order to distinguish the differences between the subject property and the comparable sale properties and to see their effect on the sales price.
5. Reconcile the value indications produced by the comparison into a single estimate of value or a range of values for the property as a whole.

INCOME APPROACH

The principal assumption of the Income Approach is that there is a definite relationship between a property's value and the income it can produce. This method requires translating net income produced by a property into a value estimate by determining the present value of the anticipated income stream, appropriately discounted for risk, liquidity, and the remaining economic life of the improvements. There are basically four steps to be followed in assembling and processing the data needed in this approach, and they are summarized as follows:

1. Obtain the rent schedules and percentage of occupancy for the Subject Property and for comparables for the current year and several past years. This data is then compared and adjusted to an estimate of effective gross income which the property may be reasonably expected to produce.

2. Obtain expense data such as taxes, insurance and operating costs being paid by the Subject Property and by comparable properties.

3. Estimate the probable duration of the building's income or alternately, estimate the suitable period of ownership before resale.

4. Estimate the net operating income to the property (which is obtained by subtracting the expenses from the effective gross income), and select the appropriate capitalization method, the applicable technique, and appropriate rate for processing this net income.

SALES COMPARISON APPROACH

Several comparable sales have been obtained for comparative purposes with the subject property. The following pages contain the specific information regarding these sales. Estimated land values for each sale are based upon land sales of similar sizes and locations. Estimated lease rates to determine applicable cap rates are based upon similar office lease rates (market rates) to each individual property at time of sale obtained from leasing agents and lease listings including Crexi, Havens Group, ICA and smaller companies and other appraisers. The comparable sales follow.

COMPARABLE SALE NO. 1

Property Information	
Address	100 N Terrell St Midland, TX 79701
APN	R000035273
Legal	Acres: 0.482, BLK: 048, LOT: 003, ADDN: ORIGINAL TOWN
Type	Office Warehouse
Land Size	0.48 AC
Zoning	C, Commercial District

Property Improvements	
Constr. Type	Block, Concrete, Metal, Frame
Size (SF)	6,938
Year Built	1982
Effective Age	43.0
Condition	Fair
Land / Bld	3.01
Other Features	
Car Ports (x3), paved / calichi parking, security system	

Sale Information	
Sale Price	$550,000
Grantor	SHORTY AND SONS RENTAL LP
Grantee	UPHOLSTERY JOSH
Date of Sale	Apr 29, 2024
Recording	2024-9491

Income Analysis	
Potential Gross Income	$77,636
Less: Vacancy	-$7,763.62
Effective Gross Income	$69,873
Less: Expenses	-$15,948.82
Net Operating Income	$53,924

Key Indicators	
Sale Price / SF	**$79.27**
Occupancy %	90%
Gross Income Multiplier	7.871469156
Overall Cap Rate	**9.80%**

Inputs	
Rent / SF	$11.19
Vacancy %	10%

Comments

Offices, 1 common space room and large temperature controlled open area. Original wood floors in feed rooms. New water heater, plumbing, and electrical as of Dec 2022. Note: MLS and deed records indicate Lot 3 and 4 were sold, totalling in 0.48 AC, however, when adding the acreage of the two parcels together based off of Midland CAD, the total is 0.689 AC.

Verified by MLS/CAD/Deeds (MLS #50057821)

COMPARABLE SALE NO. 2

Property Information

Address	2642 N Marco Ave Odessa, TX 79762
APN	18100.00476.00000 18100.00475.00000
Legal	MARCO INDUSTRIAL SITES BLOCK 3 LOT 16-17
Type	Office Warehouse
Land Size	0.918 AC
Zoning	None (Inside ETJ)

Property Improvements

Constr. Type	Metal
Size (SF)	7,200
Year Built	1982
Effective Age	43.0
Condition	Fair
Land / Bld	5.55

Other Features

Chemical Lab, Chain link fence

Sale Information

Sale Price	$550,000
Grantor	Sabre Oxidation Technologies, Inc.
Grantee	AIR-ROD Properties & Construction, LLC.
Date of Sale	Mar 01, 2024
Recording	2024-00003638

Income Analysis

Potential Gross Income	$97,200
Less: Vacancy	-$9,720.00
Effective Gross Income	$87,480
Less: Expenses	-$16,409.94
Net Operating Income	$71,070

Key Indicators

Sale Price / SF	**$76.39**
Occupancy %	90%
Gross Income Multiplier	6.287151349
Overall Cap Rate	**12.92%**

Inputs

Rent / SF	$13.50
Vacancy %	10%

Comments

Verified by Broker (Dan Weaver)

COMPARABLE SALE NO. 3

Property Information	
Address	3809 S County Rd 1308 Odessa, TX 79765
APN	R000025117
Legal	Acres: 0.760, BLK: 010, LOT: 001 LESS S 144.6, ADDN: HIGHWAY INDUSTRIAL
Type	Office Warehouse
Land Size	0.76 AC
Zoning	None (Inside ETJ)

Property Improvements	
Constr. Type	Metal
Size (SF)	5,300
Year Built	1983
Effective Age	42.0
Condition	Fair
Land / Bld	6.25
Other Features	
Dock High Ramp, Perimeter Fencing, Storage Mezzanine, Warehouse Storage Racks	

Income Analysis	
Potential Gross Income	$37,100
Less: Vacancy	-$3,710.00
Effective Gross Income	$33,390
Less: Expenses	-$12,076.10
Net Operating Income	$21,314

Key Indicators	
Sale Price / SF	**$42.45**
Occupancy %	90%
Gross Income Multiplier	6.738544474
Overall Cap Rate	**9.47%**

Sale Information	
Sale Price	$225,000
Grantor	Karen Hopkins
Grantee	AIR-ROD Properties & Construction LLC.
Date of Sale	Apr 09, 2024
Recording	2024-7894

Inputs	
Rent / SF	$7.00
Vacancy %	10%

Comments

Verified by Broker (Dan Weaver)

COMPARABLE SALE NO. 4

Property Information	
Address	4310 S County Rd 1286 Odessa, TX 79765
APN	R000206997
Legal	ACRES: 0.986 BLK: 001: LOT: 010 ADDN: CJP SUBDIVISION
Type	Office Warehouse
Land Size	0.95 AC
Zoning	None (Inside ETJ)

Property Improvements	
Constr. Type	Metal
Size (SF)	5,250
Year Built	2008
Effective Age	17.0
Condition	Average
Land / Bld	7.88
Other Features	
Security Fence	

Income Analysis	
Potential Gross Income	$78,750
Less: Vacancy	-$7,875.00
Effective Gross Income	$70,875
Less: Expenses	-$15,943.19
Net Operating Income	$54,932

Key Indicators	
Sale Price / SF	**$104.76**
Occupancy %	90%
Gross Income Multiplier	7.760141093
Overall Cap Rate	**9.99%**

Sale Information	
Sale Price	$550,000
Grantor	WOODYS ADVANCE FABRICATION AND TRUCK REPAIR INC
Grantee	ENDLESS R INVESTMENTS LLC
Date of Sale	Mar 21, 2025
Recording	2025 - 8119

Inputs	
Rent / SF	$15.00
Vacancy %	10%

Comments

Verified by MLS/CAD/Deeds (MLS #158196)

COMPARABLE SALE NO. 5

Property Information	
Address	4809 W 42nd St Odessa, TX 79764
APN	34800.00230.00000
Legal	WESTGATE ACRES BLOCK 5 LOT 8
Type	Office Warehouse
Land Size	0.4132 AC
Zoning	None (Inside ETJ)

Property Improvements	
Constr. Type	Brick, Stone, Metal
Size (SF)	5,720
Year Built	1980, 2020
Effective Age	39.4
Condition	Average
Land / Bld	3.15
Other Features	
Metal Fence	

Income Analysis	
Potential Gross Income	$77,220
Less: Vacancy	-$7,722.00
Effective Gross Income	$69,498
Less: Expenses	-$12,370.98
Net Operating Income	$57,127

Key Indicators	
Sale Price / SF	**$93.53**
Occupancy %	90%
Gross Income Multiplier	7.698063254
Overall Cap Rate	**10.68%**

Sale Information	
Sale Price	$535,000
Grantor	Clay Rodriguez
Grantee	Total Properties of Houston LLC
Date of Sale	Dec 12, 2024
Recording	2024-00022328

Inputs	
Rent / SF	$13.50
Vacancy %	10%

Comments

Verified by Broker (Dan Weaver)

COMPARABLE SALE NO. 6

Property Information	
Address	6110 Ector Ave Odessa, TX 79762
APN	30600.04850.00000
Legal	SUNSET HEIGHTS BLOCK 38 LOT 4
Type	Office Warehouse
Land Size	0.45 AC
Zoning	None (Inside ETJ)

Property Improvements	
Constr. Type	Metal
Size (SF)	3,120
Year Built	2006, 1982
Effective Age	37.5
Condition	Fair
Land / Bld	6.28
Other Features	

Income Analysis	
Potential Gross Income	$34,320
Less: Vacancy	-$3,432.00
Effective Gross Income	$30,888
Less: Expenses	-$6,935.30
Net Operating Income	$23,953

Key Indicators	
Sale Price / SF	**$80.13**
Occupancy %	90%
Gross Income Multiplier	8.093758094
Overall Cap Rate	**9.58%**

Sale Information	
Sale Price	$250,000
Grantor	STILLWELL MIKE TRUSTEE STILLWELL JOHNNIE CRAIG DECEASED TRUST
Grantee	GLASPY GAE
Date of Sale	Dec 17, 2024
Recording	2024-00023227

Inputs	
Rent / SF	$11.00
Vacancy %	10%

Comments

Just under a half acre with a good metal fence and gate, building #1 is approx 2400 sq ft, two bay doors, 15' ceilings. Building 2 is approx 750 sq ft. Has a well and septic.

Verified by MLS/CAD/Deeds (MLS #50078346)

COMPARABLE SALE NO. 7

Property Information

Address	6419 S County Rd 1273 Midland, TX 79706
APN	R000214504
Legal	Acres: 1.372, BLK: 001, LOT: 16A, ADDN: HAWK VIEW ADDITION
Type	Office Warehouse
Land Size	1.372 AC
Zoning	None (Inside ETJ)

Property Improvements

Constr. Type	Metal
Size (SF)	5,000
Year Built	2019
Effective Age	6.0
Condition	Good
Land / Bld	19.16
Other Features	

Chain link fence, 2,500 SF of canopy covering

Sale Information

Sale Price	$915,000
Grantor	POWELL FTW LAND LLC
Grantee	AMARCO 6419 LLC
Date of Sale	May 01, 2024
Recording	2024-12257

Income Analysis

Potential Gross Income	$95,000
Less: Vacancy	-$9,500.00
Effective Gross Income	$85,500
Less: Expenses	-$13,965.70
Net Operating Income	$71,534

Key Indicators

Sale Price / SF	**$183.00**
Occupancy %	90%
Gross Income Multiplier	10.70175439
Overall Cap Rate	**7.82%**

Inputs

Rent / SF	$19.00
Vacancy %	10%

Comments

Verified by Broker (Larry Nielsen - NRG)

COMPARABLE SALES SUMMARY CHART

Sale #	1	2	3	4	5	6	7	Subj
Address	100 N Terrell St Midland	2642 N Marco Ave Odessa	3809 S County Rd 1308 Odessa	4310 S County Rd 1286 Odessa	4809 W 42nd St Odessa	6110 Ector Ave Odessa	6419 S County Rd 1273 Midland	1409 Connell St Midland
Property Rights	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple
Date of Sale	Apr 2024	Mar 2024	Apr 2024	Mar 2025	Dec 2024	Dec 2024	May 2024	Current
Building Size (SF)	6,938	7,200	5,300	5,250	5,720	3,120	5,000	6,000
Land / Bld Ratio	3.01	5.55	6.25	7.88	3.15	6.28	19.16	2.33
Effective Age	43.0	43.0	42.0	17.0	39.4	37.5	6.0	15.0
Condition	Fair	Fair	Fair	Average	Average	Fair	Good	Average
Year Built	1982	1982	1983	2008	1980, 2020	2006, 1982	2019	2008
Office %	21.6%	66.7%	32.1%	21.4%	19.6%	4.6%	25.0%	1.8%
Sale Price / SF	$79.27	$76.39	$42.45	$104.76	$93.53	$80.13	$183.00	
Overall Cap Rate	9.80%	12.92%	9.47%	9.99%	10.68%	9.58%	7.82%	

Discussion of Improved Sales

Appraiser analyzed various sales throughout Midland and Odessa. The sales utilized and summarized in the chart above were the most comparable sales available. Many market participants have confidential sales information in this non disclosure state. Comparable sales are in Odessa, Ector County, Texas and Midland, Midland County, Texas. To find a value for the subject property, we will utilize the selected sales which were the best available in an extensive search of the market. Appraiser used the local MLS and Crexi Database along with contacting market appraisers and realtors considered to be the most knowledgeable market participants.

The sizes of the comparables bracket the subject size with most being slightly smaller however in the market considered very similar. The sales have different effective ages, condition, office percentage, land to building ratio, amenities,

locations and varying degrees of renovations. These factors will be analyzed to determine necessary adjustments.

Inherent in comparable sales data typically include such factors as property right conveyed, financing considerations, expenditures after the sale, market condition, and miscellaneous amenities. Adjusting for variable differences is at best difficult. The following is a list of variables and discussion of each.

Property Rights Conveyed/Conditions of Sale

All the sales were basically arms-length cash to sellers at typical rate transactions. Subject property is owned so the property rights appraised are fee simple, surface only. Property rights sold in the sales listed are all fee simple, surface only at the time of Sale. In this area, many times the property rights conveyed do not have an impact on sales price.

Market Conditions (Time)

Normal trends existed during the time frame of these sales with normal ebb and flow with slight increases and slight decreases. Overall however, there has been a slight increase. The overall adjustments for date of sale are fairly significant although the data is limited. The adjustment for this variable is made at a rounded 2% per month.

Location

The locations of these sales are in various locations in Odessa, Midland and between the cities. Location adjustment for Interstate 20 access (the 20/80 corridor) tends to drive property appeal. Pairing Sales in Odessa to those in Midland in this analysis we see a positive adjustment for location of around 3%. Other analyses made between the two cities in this sector are up to 20%. A reasonable positive adjustment for locations in the city of Odessa or to the west of the Odessa city limits in Ector County are 5% due to the subject location being considered slightly superior due to the location between Business 20 and Interstate 20. Sale No. 7 also sold at a premium and it appears the location may be one of the differences as compared to the other sales. Therefore a larger location adjustment is made based on this area selling for higher rates.

Age/Condition

The condition of the properties does seem to impact these sales prices for the

improvements. Many times the age itself does not seem to impact the values as much as the condition of sales due to renovations, remodeling and general replacement of major systems as needed. Utilizing paired sales from the sales in this report and other sales in the appraiser's file, a negative adjustment is indicated for Sale No. 's 4 for a good condition and 7, the much newer built property also in good condition. A positive adjustment will be utilized for Sales 1, 4, 5, 6 based on age and reported condition to bring the older or fair condition properties up to the average properties which correlates with the subject condition due to effective age. These adjustments seem reasonable for this factor due to the possibility that this adjustment also includes other variables.

Size

As size is analyzed, Real Estate Principles indicate that the smaller the size, the higher the price per unit. Sale No. 1 has the largest square footage but is only slightly larger than the subject. No adjustment is necessary. Sales 2, 3, 4, 5, & 7 are similar enough sizes to warrant no adjustments. Only Sale No. 6 is smaller enough to warrant a negative adjustment to bring in line with subject size.

Office Ratio

The sales with the highest office ratios are typically among the highest priced sales. Using paired analysis between the only other comparable with such limited office space we get a range from a negative 14% to 23.5% adjustment. Due to the other variables being accounted for in the above adjustments, the lower end of this indicated adjustment range (-15%) is more reasonable for this factor for Sale No's 1, 3, 4, 5, & 7. Sale No. 2 which has a very large office percentage will be adjusted at a higher rate or-20%.

As the significant elements of comparison have been discussed and analyzed, they are shown in the chart below.

SALES ADJUSTMENT CHART

	Subject	1	2	3	4	5	6	7
Date of Sale	Current	Apr 2024	Mar 2024	Apr 2024	Mar 2025	Dec 2024	Dec 2024	May 2024
Building Size (SF)	6,000	6,938	7,200	5,300	5,250	5,720	3,120	5,000
Sale Price / SF		$79.27	$76.39	$42.45	$104.76	$93.53	$80.13	$183.00

TRANSACTION ADJUSTMENTS

Property Rights	Fee Simple	Similar 0% $79.27	Similar 0% $76.39	Similar 0% $42.45	Similar 0% $104.76	Similar 0% $93.53	Similar 0% $80.13	Similar 0% $183.00
Financing Terms		Inferior 0% $79.27	Similar 0% $76.39	Similar 0% $42.45	Similar 0% $104.76	Similar 0% $93.53	Similar 0% $80.13	Similar 0% $183.00
Conditions of Sale		Arm's Length 0% $79.27	Arm's Length 0% $76.39	Arm's Length 0% $42.45	Arm's Length 0% $104.76	Arm's Length 0% $93.53	Arm's Length 0% $80.13	Arm's Length 0% $183.00
Market Conditions	Current	Apr 2024 20% $95.12	Mar 2024 20% $91.67	Apr 2024 20% $50.94	Mar 2025 0% $104.76	Dec 2024 5% $98.21	Dec 2024 5% $84.14	May 2024 20% $219.60

PROPERTY ADJUSTMENTS

Location	Good	Similar 0%	Inferior 5%	Similar 5%	Similar 0%	Inferior 5%	Inferior 10%	Superior -15%
Age / Condition	15 Average	Inferior 15%	Inferior 15%	Inferior 50%	Superior -5%	Similar 0%	Inferior 10%	Superior -20%
Building Size (SF)	6,000	6,938 0%	7,200 0%	5,300 0%	5,250 0%	5,720 0%	3,120 -15%	5,000 0%
Office %	1.8%	21.6% -15%	66.7% -20%	32.1% -15%	21.4% -15%	19.6% -15%	4.6% 0%	25.0% -15%
Land / Bld Ratio	2.33	3.01 0%	5.55 0%	6.25 0%	7.88 0%	3.15 0%	6.28 0%	19.16 -5%
Total Adjustment		0%	0%	40%	-20%	-10%	5%	-55%
Adjusted $ / SF		$95.12	$91.67	$71.32	$83.81	$88.39	$88.34	$98.82
Adjusted Mean $ / SF								$88.21

A value generally in-line with the mean is well supported. $88.00

Improvement Size (SF)	6,000
Value Indication	$528,000
Concluded Value - Site and Improvements	$528,000

Indicated market values are now charted in an ascending array.

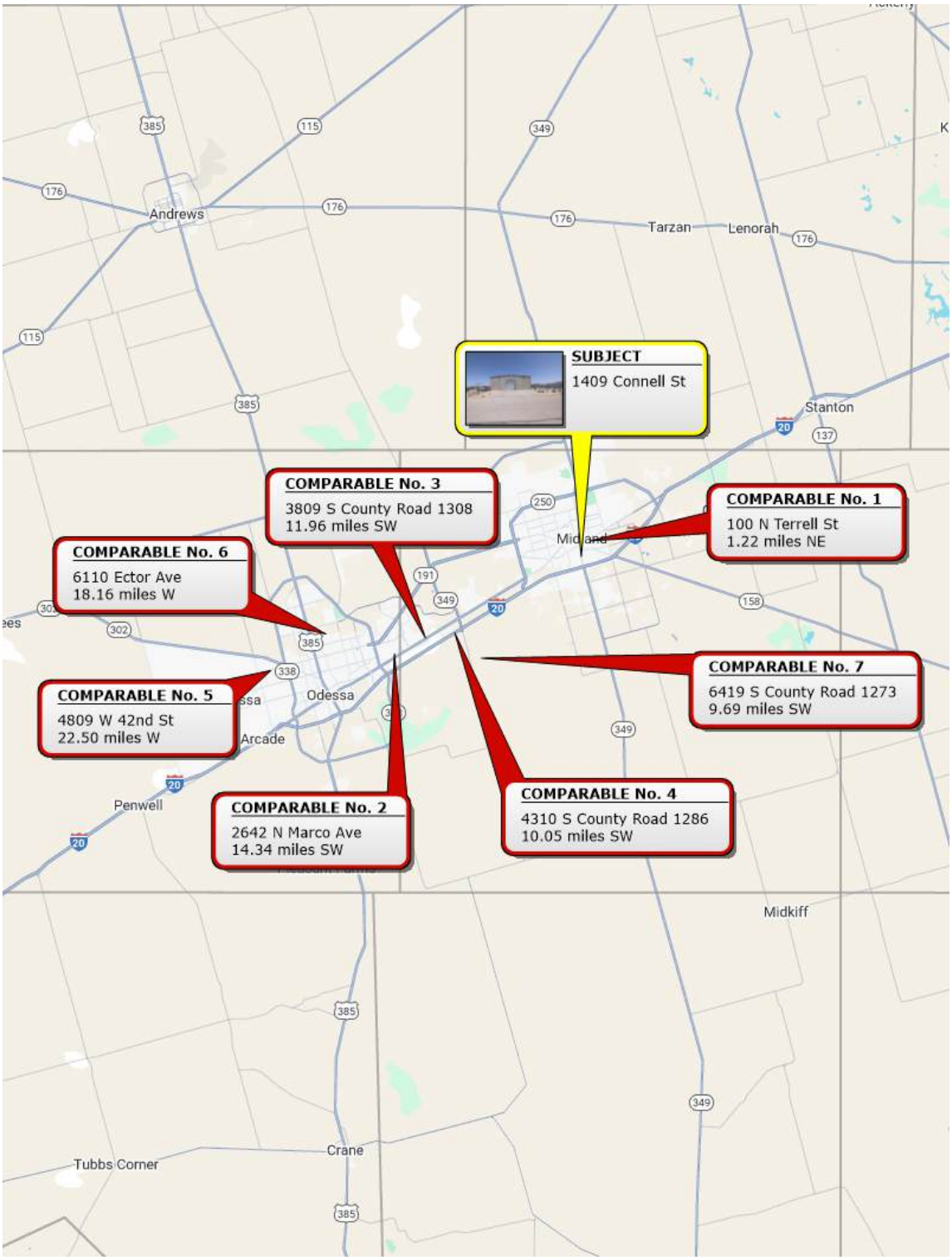
Sale #	Indicated Market Value
3	$71.32
4	$83.81
6	$88.34
5	$88.39
2	$91.67
1	$95.12
7	$98.82
Mean	$88.21

Comparable Sales Adjustments Summary

Based on these sales, the indicated range of value for the subject property is $71.316/SF to $98.82/SF. This means the property is valued between $427,896 and $592,920. If we eliminate the extremes on each end of the spectrum we have a more reasonable credible value range of $502,848 to $570,744. The value is generally in-line with the mean and is considered well supported at $88.00/SF or $528,000.

Final Value via Sales Comparison Approach:
$528,000 R

COMPARABLE SALES MAP



INCOME CAPITALIZATION APPROACH

The Income Capitalization Approach is the other method used in estimating an indication of value for the property.

In using the Income Capitalization to value, the appraiser(s) derive a value indication for income-producing properties by analyzing the properties' capacity to generate benefits and converting these benefits into an indication of present value.

The rentals in the following chart were obtained for comparative purposes in order to abstract the subject property's gross potential market rent.

Comparable Rentals

RENT COMPARABLE NO. 1

Property Information	
Address	306 W 61st St Odessa, TX 79764
APN	16900.00510.00000
Legal	LAKEVIEW S 420 OF W 210 OF TRACT 27 PLOT 1 (CARD #41)
Type	Office Warehouse
Land Size	2.02 AC
Zoning	None (Inside ETJ)

Property Improvements	
Constr. Type	Brick, Stone, Stucco, Metal
Rentable SF	5,900
Office SF	1,400
Year Built	1981
Effective Age	44.0
Condition	Average
Land / Bld	14.91
Occupancy %	0%
Other Features	

Lease Analysis	
Lessor	BRIGHT & JONES DEVELOPMENT LLC
Tenant	AGR Logistics Services LLC
Tenant Structure	Individual
Lease Start	December 1, 2024
Lease Term	2
Expense Structure	NNN
% Increase / Year	
Rent / SF / Year	**$11.19**

Comments

2-acre fenced property with approximately 4,500 sq ft of shop space and 1,400 sq ft of recently renovated office space. Metal building with three 12'x14' bay doors (one drive-through) and 3-phase 480v power. Located near HWY 385 and Loop 338.

Verified by Realtor (Keith Trower)

RENT COMPARABLE NO. 2

Property Information	
Address	625 E 52nd St Odessa, TX 79762
APN	28600.08304.00000
Legal	SHERWOOD 01-72 BLOCK 57 LOTS 31-33
Type	Warehouse
Land Size	0.5337 AC
Zoning	R, Retail District

Property Improvements	
Constr. Type	Block Tile, Concrete Slab
Rentable SF	3,939
Office SF	0
Year Built	1971
Effective Age	54.0
Condition	Good
Land / Bld	5.90
Occupancy %	
Other Features	

two bathrooms, one with a shower. Yard for storage

Lease Analysis	
Lessor	HERR INVESTMENTS INC
Tenant	Confidential
Tenant Structure	Individual
Lease Start	June 1, 2024
Lease Term	2
Expense Structure	NNN
% Increase / Year	
Rent / SF / Year	**$15.84**

Comments

Verified by Realtor (Stacey James)

RENT COMPARABLE NO. 3

Property Information

Address	4424 W 8th St Odessa, TX 79763
APN	13700.05275.00000
Legal	HENDERSON BLOCK 36 LOTS 8-9
Type	Office Warehouse
Land Size	1.5946 AC
Zoning	None (Inside ETJ)

Property Improvements

Constr. Type	Metal
Rentable SF	6,200
Office SF	1,800
Year Built	2023
Effective Age	2.0
Condition	Good
Land / Bld	11.20
Occupancy %	
Other Features	

Metal fence all round w/ 2 roll out gates

Lease Analysis

Lessor	HERNANDEZ JESUS, HERNANDEZ YAZMIN ALEJANDRA
Tenant	tradewind controls
Tenant Structure	Individual
Lease Start	July 1, 2024
Lease Term	2
Expense Structure	NNN
% Increase / Year	
Rent / SF / Year	**$15.48**

Comments

Double check: AC in warehouse?

New construction, 4 offices with 3 bathrooms (one has shower), break room with granite countertops and an upstairs storage/flex room

Verified by Broker (Stacie Russell)

RENT COMPARABLE NO. 4

Property Information	
Address	2312 Garden City Hwy Midland, TX 79701
APN	R000035698 R000035705
Legal	OVERSTREET SEC 2 BLOCK 2 LOT 1, LOT 8
Type	Office Warehouse
Land Size	0.91 AC
Zoning	LI, Light Industrial

Property Improvements	
Constr. Type	Metal
Rentable SF	4,752
Office SF	2,376
Year Built	1982
Effective Age	3.0
Condition	Average
Land / Bld	8.34
Occupancy %	
Other Features	

Lease Analysis	
Lessor	SUNMORE 5109 LLC
Tenant	X-treme Operators
Tenant Structure	Individual
Lease Start	March 2, 2024
Lease Term	3
Expense Structure	NNN
% Increase / Year	
Rent / SF / Year	**$19.00**

Comments

Verified by Appraiser (Lukas Hayes (BBG))

RENT COMPARABLE NO. 5

Property Information	
Address	1515 E. County Rd 139 Midland, TX 79706
APN	R000217225
Legal	Acres: 5.001, BLK: 005, LOT: 002, ADDN: OMG ADDITION SEC 3
Type	Office Warehouse
Land Size	1.6 AC
Zoning	None (Inside ETJ)

Property Improvements	
Constr. Type	Metal
Rentable SF	5,000
Office SF	500
Year Built	2018
Effective Age	2.0
Condition	Good
Land / Bld	13.94
Occupancy %	100%
Other Features	
Heated Warehouse	

Lease Analysis	
Lessor	AFAB RENTALS LLC
Tenant	Confidental
Tenant Structure	Individual
Lease Start	April 23, 2025
Lease Term	2
Expense Structure	NNN
% Increase / Year	3%
Rent / SF / Year	**$17.28**

Comments

5,000 sq ft office/warehouse on 2 acres with a 1,250 sq ft mobile home. The insulated shop has three 16'x14' drive-in bays, heaters, and a 1,250 sq ft wash bay. The office includes two private offices, a conference room, and a restroom. The mobile home offers four private rooms and two restrooms. The property is fenced and secured.

Verified by Broker (Larry Nielson)

RENT COMPARABLE NO. 6

Property Information

Address	1610 E County Rd 153 Midland, TX 79706
APN	R000221426
Legal	Acres: 1.000, 1.00 AC OUT OF S/2 OF 16 AC NE/4, SEC: 36, BLK: 39-T2S
Type	Office Warehouse
Land Size	0.5 AC
Zoning	None (Outside ETJ)

Property Improvements

Constr. Type	Metal
Rentable SF	3,000
Office SF	1,000
Year Built	2020
Effective Age	7.0
Condition	Good
Land / Bld	7.26
Occupancy %	100%
Other Features	

Lease Analysis

Lessor	TEXAS PELICAN PROPERTIES LLC
Tenant	Evers and Sons Inc
Tenant Structure	Individual
Lease Start	July 1, 2023
Lease Term	2
Expense Structure	NNN
% Increase / Year	3%
Rent / SF / Year	**$19.10**

Comments

Verified by Broker (Larry Nielson)

INDUSTRIAL RENTAL SUMMARY CHART

Rental #	1	2	3	4	5	6	Subj
Address	306 W 61st St Odessa	625 E 52nd St Odessa	4424 W 8th St Odessa	2312 Garden City Hwy Midland	1515 E. County Rd 139 Midland	1610 E County Rd 153 Midland	1409 Connell St Midland
Land / Bld Ratio	14.91	5.90	11.20	8.34	13.94	7.26	2.33
Rentable SF	5,900	3,939	6,200	4,752	5,000	3,000	6,000
Land Size (AC)	2.02	0.53	1.59	0.91	1.60	0.50	0.32
Wash Bay	No	No	No	No	Yes	No	No
Office %	23.7%	0.0%	29.0%	50.0%	10.0%	33.3%	1.8%
Hoisting	None	None	Yes	Unkn.	None	None	None
Age	44	54	2	3	2	7	15
Condition	Average	Good	Good	Average	Good	Good	Average
Rent / SF / Year	$11.19	$15.84	$15.48	$19.00	$17.28	$19.10	
Expense Structure	NNN	NNN	NNN	NNN	NNN	NNN	
Lease Start	Dec 2024	Jun 2024	Jul 2024	Mar 2024	Apr 2025	Jul 2023	

Analysis of the Comparables

These rentals are a representation of the current local market and were examined to estimate the subject property's gross potential market rent. No similar stand alone warehouse rentals were found in a similar location to the subject warehouse. However, these rental rates used were the best available to complete the income approach to value. The rent comparables exhibit office/warehouses and one renovated older building of varying sizes, some newer and some similar age/condition, and several locations. All the leases have been adjusted to or are triple net lease arrangements whereby property owners usually have structural repairs only. This approach is not as applicable as the sales comparison approach due to the lack of similar warehouse-only comparable sales.

Variable differences include net leasable area, land to building ratio, age/condition, amenities, office ratio and location. The rates are not very consistent. The subject's

effective age was rounded to 15 years being a well maintained building. Only Rental No. 1 & 2 are older buildings. Rental No. 's 3 - 6 are newer buildings and as a result will lease for more than the subject. No. 1, 3 & 5 are the closest in size. The highest rates are the rentals in Midland County. The lowest rate is for the next to the oldest property. The oldest property had been renovated to have a newer effective age due to more modern materials and updates. Using the comparable rates there is a slight location adjustment for those deemed to be in slightly superior locations and those in Odessa as we tend to see higher rates in Midland as discussed in the Sales Comparison Approach to Value.

Another difference in lease rates as shown in the rental chart above is the age/condition factor. Pairing older buildings lease rates in the appraiser's files and using these current comparables used in the report with the newer building lease rates there is an indicated negative 5% difference. Other analysis from both paired analysis using this group of comparables and an artificial intelligence analysis finds applicable adjustments for varying degrees of this factor. Sales No. 3, 5 & 6 were considered in good condition and were adjusted at -5%.

Subject office percentage is the smallest of any rental found. We considered the subject interior bathrooms as equal to interior office finished areas. The closest office percentage was from Rental No. 2 which was added to be most similar to subject for this factor. It is difficult to parse adjustments between the superior office percentage, age/condition, wash bays and hoisting to get adjustments for each component. A higher office percentage typically commands a higher lease rate because the build-out costs and operating expenses for that office area are higher. Conversely, a predominantly warehouse property with minimal office typically leases at a lower rate. Where a comparable has a significantly higher office ratio, it is considered superior in that regard and warrants a negative adjustment. If it is materially lower, then an upward adjustment might be indicated. Rental No. 4 has the largest office percentage and thus has the highest negative adjustment for this factor. The others are adjusted accordingly.

The land to building ratios seem to be a small factor in the varying lease rates. A higher land-to-building ratio can provide extra yard storage, truck maneuverability, or expansion potential. Often, industrial tenants with heavy equipment or yard needs place a premium on larger sites, especially if it helps with truck access and outside storage. Therefore, if a comparable features a materially larger ratio than the subject, it is generally superior (requiring a negative adjustment). If the comparable ratio is smaller, it is inferior, warranting an upward adjustment. However in this instance considering the subject's corner location with accessibility to the warehouse from 2 different intersecting streets, this solves the

maneuverability issue due to the bounding streets. Therefore, no adjustment was deemed necessary.

Wash Bay: A dedicated wash bay can be a valuable feature in certain oilfield or trucking-related operations, potentially pushing rents higher. If a comparable has a wash bay and the subject does not, that comparable is superior, justifying a downward adjustment. Rental No. 5 has a wash bay therefore a -5% adjustment is applied.

The discussed adjustments are indicated in the chart below.

RENTALS ADJUSTMENT CHART

	Subject	1	2	3	4	5	6
Condition	Average	Average	Good	Good	Average	Good	Good
Rentable SF	6,000	5,900	3,939	6,200	4,752	5,000	3,000
Rent / SF / Year		$11.19	$15.84	$15.48	$19.00	$17.28	$19.10
LEASE ADJUSTMENTS							
Expense Structure		NNN 0% $11.19	NNN 0% $15.84	NNN 0% $15.48	NNN 0% $19.00	NNN $17.28	NNN $19.10
PROPERTY ADJUSTMENTS							
Location	Good	Inferior 5%	Inferior 5%	Inferior 5%	Superior -5%	Similar 0%	Similar 0%
Age / Condition	15 Average	Similar 0%	Similar 0%	Superior -5%	Similar 0%	Superior -5%	Superior -5%
Rentable SF	6,000	5,900 0%	3,939 -15%	6,200 0%	4,752 0%	5,000 0%	3,000 -15%
Office %	1.8%	23.7% -15%	0.0% 0%	29.0% -15%	50.0% -20%	10.0% -10%	33.3% -15%
Land / Bld Ratio	2.33	14.91 0%	5.90 0%	11.20 0%	8.34 0%	13.94 0%	7.26 0%
Wash Bay	No	No 0%	No 0%	No 0%	No 0%	Yes -5%	No 0%
Total Adjustment		-10%	-10%	-15%	-25%	-20%	-35%
Adjusted Rent / SF		$10.07	$14.26	$13.16	$14.25	$13.82	$12.41
Adjusted Mean $ / SF							$13.00
Adjusted Median $ / SF							$13.71
A value generally in-line with both the mean and median is well supported.							$13.40
Improvement Size (SF)							6,000
Potential Gross Rental Income - Market							$80,400

Comparable Rentals Adjustments Summary

Subject is located in the south center part of Midland , Texas between Hwy 80/Business 20 and Interstate 20. Utilizing national and local market data indicators and my analysis of these, a 10% vacancy rate will be used. All of these rentals are Triple Net. Without adjustments to the rent comparables, a range of values are indicated between $11.19/SF/YR to $19.10/SF/YR NNN which is a large range. Using the applicable adjustments, a smaller range of values is found.

The difficulty in this assessment is to determine the exact impact for the subject's lack of office space when the locations vary so much and the beginning rates are so extreme. For this reason, the rent rate for the subject property is called near the mean and the median. With the property variables taken into consideration, the potential gross income for the subject property is well supported at $13.40/SF/YR with a triple net lease arrangement. Appraiser also found another rental rate for a recently sold building that was then renovated and subsequently leased. The rental rate for that property is $13.58/SF/YR. This further supports the indicated value as discussed. In spite of the variances in the available rentals, after adjustments have been made, the rate seems to be credible and reasonable.

INCOME APPROACH SCHEDULE

Potential Gross Income: 6,000 SF @ 13.40SF/Year	$80,400
Less, Vacancy & Collection Allowance: (10%)	(8,400)
Effective Gross Income	$72,000
Less, Taxes and insurance	($15,067)
Taxes ($4,507)	
Insurance ($10,560)	
NET OPERATING INCOME	$ 56,933

VALUATION

Net Income / Capitalization Rate = Value

$56,933 /.10 = $569,330

Rounded To $569,000

OVERALL CAPITALIZATION RATES

The sales utilized in the Sales Comparison Analysis were analyzed in abstracting an overall capitalization rate. The indicated figures are exhibited as follows:

Sale #	Overall
1	9.80%
2	12.92%
3	9.47%
4	9.99%
5	10.68%
6	9.58%
7	7.82%
Mean	10.04%

Capitalization Rates Summary

The range of capitalization rates for the subject indicated by the estimated market rents in the Sales Comparison Approach pro forma analysis is a fairly close range specifically 7.82% - 12.92%. Eliminating the low and high rates we have a very close and applicable range. The Midland/Odessa Permian Basin Area is considered a tertiary market and no official reports are done by any of the National Cap Rate statisticians. Therefore, the best information available along with the analysis by appraiser of sales with estimated cap rates based on reasonable market rents based on a rental survey, an overall rate of approximately 10% for the subject is considered reasonable as it is near the most predominant rate.

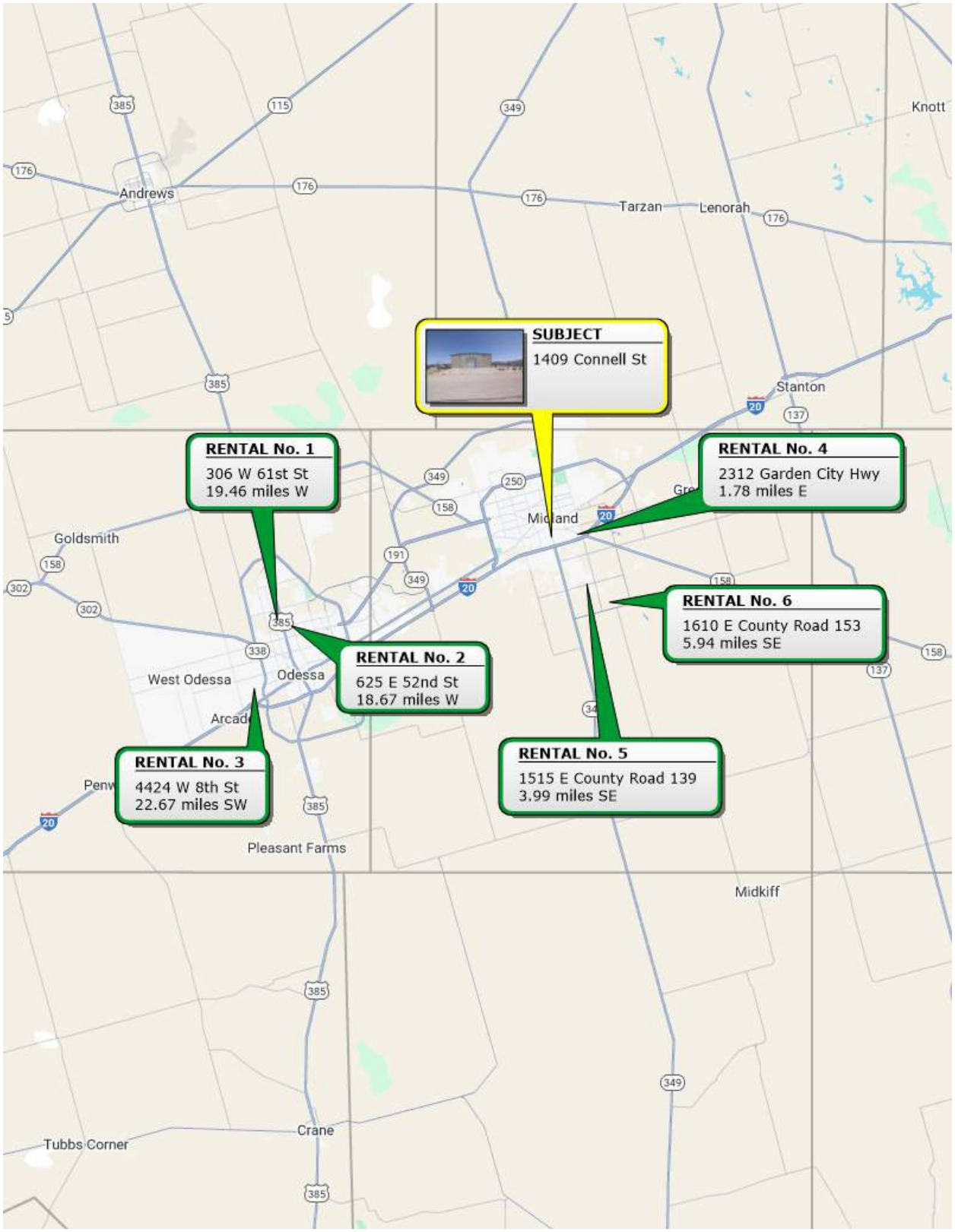
EXPENSE VERIFICATION

Vacancy and Collection Loss - Depending on location, use potential, and various other factors this commercial market normally exhibits a vacancy and collection allowance of 0% - 20. The vacancy allowance considered applicable to the subject is called 5%.

Mgt./Administrative - Professional management firms normally charge a percentage, typically 5% - 10%, of effective gross income (EGI) varying according to the nature of the property. Owners/managers' report a willingness or an allowance for management cost of about 10% of obtainable gross income. This expense includes the actual management, miscellaneous automobile and office expenses, and minor legal and audit expenses. However, with the current use of the building, the taxes and insurance costs associated with the building are the more applicable expenses to account for in the assessment for this factor. Therefore, the current taxes and typical insurance paid is utilized.

Reserves - In this market with the NNN or absolute net lease structure (used interchangeably here) which are common for this type of office space, no reserves are deducted in the income approach.

Rentals Map


SUBJECT
1409 Connell St
RENTAL No. 1
306 W 61st St
19.46 miles W
RENTAL No. 2
625 E 52nd St
18.67 miles W
RENTAL No. 3
4424 W 8th St
22.67 miles SW
RENTAL No. 4
2312 Garden City Hwy
1.78 miles E
RENTAL No. 5
1515 E County Road 139
3.99 miles SE
RENTAL No. 6
1610 E County Road 153
5.94 miles SE
Andrews
Tarzan
Lenorah
Knott
Stanton
Midland
Goldsmith
West Odessa
Odessa
Pleasant Farms
Midkiff
Crane
Tubbs Corner

RECONCILIATION

RECONCILIATION AND FINAL VALUE ESTIMATE

The subject property's final estimate of Market Value is determined by the judgment of the appraiser by reconciling the differences to the values indicated by the two approaches to value used in the appraisal.

Valuation Approach	Indicated Value
Sales Comparison	$528,000
Income Capitalization	$569,000

Each of the approaches contains different strengths and weaknesses. The Cost Approach to Value is not typically relative to properties that are older like the subject. Therefore, It was not developed. The Sale Comparison Approach to Value was used for the whole property value. Appraiser found multiple properties to use to compare to the subject. This approach is typically the best approach for existing properties like subject. The Income Approach to Value was also utilized to show what the property might sell for if it had a lease in place at the time of sale of up to at least 3 years in order to attract investors.

Each of these two approaches were fairly supportive of the other in this analysis of the subject property. Utilizing the market rent calculated, the Sales Comparison Approach and the Income Approach to value are fairly close. The Sales Comparison Approach is given slightly more value due to the property rights appraised.

Based on the data employed and the reasoning utilized, the range of value for the sale of the warehouse on the effective date would be between $528,000 and $570,000 as shown from the two approaches to value. As stated above, the Sales Comparison Approach is given slightly more weight. The estimated Market Value of the Fee Simple Estate is called:

FIVE HUNDRED FORTY THOUSAND DOLLARS
($540,000)

CERTIFICATION OF VALUE

We certify that, to the best of our knowledge and belief:

The statements of fact contained in this report are true and correct.

The reported analyses, opinions and conclusions are limited only by the reported limiting conditions and assumptions and are my personal, unbiased professional analyses, opinions and conclusions.

We have no present or prospective interest in the property that is the subject of this report and have no personal interest or bias with respect to the parties involved.

Our compensation is not contingent upon the reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value estimate, the attainment of a stipulated result, or the occurrence of a subsequent event.

Our analyses, opinions and conclusions were developed, and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice ("USPAP") adopted by the Appraisal Standards Board of the Appraisal Foundation, except that the departure provision of the USPAP shall not apply to federally related transactions.

The use of this report is subject to the requirement of the Appraisal Institute relating to review by its duly authorized representatives.

We have made a cursory personal inspection of the property that is the subject of this report, as well as an exterior inspection of the market comparables listed. The appraiser is not a land, commercial building, or home inspector and this appraisal report is not an inspection, the appraiser only performed a visual observation of accessible areas and the appraisal report cannot be relied upon to disclose conditions and/ or defects in the property.

Doug Lasater (Appraiser Trainee #: TX 1343993 11/30/2026 expiration) provided significant professional assistance to the persons signing or acknowledged by this report. The assistance consisted of measuring, appraisal inspection, data entry, photography, making maps, organizing the work file and other basic assistance.

We currently hold an appropriate state certification allowing the performance of

real estate appraisals in connection with federally related transactions in the state in which the subject property is located.

The “Estimate of Market Value” in the appraisal report is not based in whole or in part upon the race, color, or national origin of the prospective owners or occupants of the properties in the vicinity of the property appraised.

This appraisal assignment was not based on a requested minimum valuation, a specific valuation, or the approval of a loan.

We have not performed appraisal services regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.

Sincerely,

Deanna Peden

Deanna Peden
State Certified General
Real Estate Appraiser
No. TX-1338135-G

ADDENDA

APPRAISER CERTIFICATION

TALCB

TEXAS APPRAISER LICENSING & CERTIFICATION BOARD

Certified General Real Estate Appraiser

Appraiser: **DEANNA HYSON PEDEN**

License #: **TX 1338135 G** License Expires: **09/30/2026**

Having provided satisfactory evidence of the qualifications required by the Texas Appraiser Licensing and Certification Act, Occupations Code, Chapter 1103, authorization is granted to use this title: Certified General Real Estate Appraiser

For additional information or to file a complaint please contact TALCB at www.talcb.texas.gov.

Chelsea Buchholtz
Executive Director

E&O INSURANCE

Accelerant National Insurance Company
(A Stock Company)
400 Northridge Road, Suite 800
Sandy Springs, GA 30350

REAL ESTATE PROFESSIONAL ERRORS AND OMISSIONS INSURANCE POLICY DECLARATIONS

NOTICE: THIS IS A "CLAIMS MADE AND REPORTED" POLICY. THIS POLICY REQUIRES THAT A CLAIM BE MADE AGAINST THE INSURED DURING THE POLICY PERIOD AND REPORTED TO THE INSURER, IN WRITING, DURING THE POLICY PERIOD OR EXTENDED REPORTING PERIOD.

DEFENSE COSTS WITHIN LIMITS

THIS POLICY CONTAINS PROVISIONS WHICH LIMIT THE AMOUNT OF CLAIM EXPENSES THE INSURER IS RESPONSIBLE TO PAY IN CONNECTION WITH CLAIMS. CLAIM EXPENSES SHALL BE SUBJECT TO ANY DEDUCTIBLE AMOUNT. THE PAYMENT OF CLAIM EXPENSES WILL REDUCE THE LIMITS OF LIABILITY STATED IN ITEM 4. OF THE DECLARATIONS.

PLEASE READ YOUR POLICY CAREFULLY.

Policy Number: NRE40PL100620-01 **Renewal of:** NRE40PL100620-00

1. **Named Insured:** Basin Appraisals, LLC
2. **Address:** 3106 San Jose Drive
   Odessa , TX 79765
3. **Policy Period:** **From: August 20, 2024** **To: August 20, 2025**
   12:01 A.M. Standard Time at the address of the **Named Insured** as stated in item **2.** Above.
4. **Limit of Liability:**
   A. Each **Claim** Limit of Liability **$ 1,000,000**
   B. Policy Aggregate Limit of Liability **$ 1,000,000**
5. **Deductible:** **$ 5,000** Each **Claim**
6. **Policy Premium:** **$ 1171**
7. **Retroactive Date: August 20, 2016**
8. **Notice to Company:** Notice of a **Claim** or Potential **Claim** should be sent to:
   OREP Insurance Services: info@orep.org
   6353 El Cajon Blvd, Suite 124-605
   San Diego, CA 92115
9. **Program Administrator:** OREP Insurance Services, LLC – info@orep.org
10. **Forms and Endorsements Attached at Policy Inception:** See Schedule of Forms

If required by state law, this policy will be countersigned by an authorized representative of the Company.

Date: July 30, 2024 By: Isaac Peck
Authorized Representative

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